



Central Bank
of Armenia

2025 Q2

Monetary
Policy Report

Monetary Policy Program

Published June 17, 2025

Contents

01.	Executive Summary	3
	a. Executive Monetary Policy Statement	
	b. Assessment of Economic Conditions & Underlying Forces	
02.	Monetary Policy Objectives and Framework	8
	a. Statement of Long-Run Monetary Policy Objectives	
	b. Framework for Monetary Policy as Risk Management	
03.	Monetary Policy Outlook	12
	a. Global Economy	
	b. Domestic Demand Conditions	
	c. Labor Market & Inflation	
	d. Financial Markets	
	e. Taxonomy of Scenarios	
	f. Monetary Policy Outlook	

In addition to the Monetary Policy Report, the CBA concurrently publishes additional materials on its website, which the reader is encouraged to reference. These include the [MPR Chart Pack](#) (containing statistical charts and tables for global and domestic economic developments as well as the illustrative scenario projections) and the [Transparency Report](#) (providing transparency into how the Board of the CBA arrived at its decision).

DISCLAIMER The data presented in this report is current as of June 13, 2025.

01 |

Executive Summary

A. Executive Monetary Policy Statement

The Board of the CBA decided today to keep the Refinancing Rate unchanged at 6.75%.

At its meeting today, the Board of the Central Bank of Armenia decided to keep the key Policy rate (refinancing rate) unchanged at 6.75%.

In the second quarter of 2025, 12-month headline inflation accelerated, reaching 4.3% in May. Meanwhile, 12-month core inflation edged up slightly, standing at 2.8%

In the second quarter of 2025, risks associated with a further slowdown in global demand and in Armenia's key partner economies increased, while inflationary pressures intensified in the US. Uncertainty surrounding US economic policies—particularly trade policy and its macroeconomic implications—remains elevated. On the other hand, heightened tensions in international trade relations, along with the sharp escalation of geopolitical conflicts—particularly in the Middle East—have significantly increased the risks of potential disruptions to supply and value chains. Significant uncertainty persists regarding the medium-term implications of US fiscal policy—particularly the magnitude of aggregate demand stimulus, the consequent increase in public debt, and the potential upward pressure on long-term interest rates. In this context, given still-tight labor market conditions in partner countries and persistently elevated inflation environment, it is likely that central banks in major economies will either maintain or ease tight monetary conditions at a gradual pace.

In the second quarter of 2025, economic activity in Armenia moderated, primarily due to the gradual fading of certain short-term, non-structural growth drivers. The continued strong growth in the construction and services sectors has remained a key driver of overall economic activity. At the same time, uncertainty remains elevated regarding the sustainability of this growth, its long-term trajectory, and the future path of domestic demand—largely reflecting the structural nature of the ongoing expansion. External demand for services has continued to decline. The impact of aggregate demand on inflation is assessed to be neutral, while the recent acceleration in inflation is largely driven by certain supply-side factors. In this context, labor market conditions are showing signs of cooling, as evidenced by the gradual stabilization of wage growth, sticky price inflation in non-tradable sectors, and inflation expectations. Simultaneously fiscal policy poses primarily inflationary risks over the medium term.

In the context of current macroeconomic developments, financial market participants in Armenia broadly anticipate that the Central Bank of Armenia will gradually lower the refinancing rate over the coming year, aiming to reach a level of 6.25 percent.

Amid the elevated risks and heightened uncertainty, the Board has assessed multiple scenarios, consistent with its mandate to ensure price stability. On one hand, the Board considered scenarios (Case A) — including those related to geopolitical developments and fiscal policy dynamics in the US and Armenia — that could lead to an increase in Armenia's neutral interest rate. These scenarios would require a higher path for the policy rate relative to market expectations to ensure the price stability. On the other hand, scenarios (Case B) that involve risks related to a continued normalization of external demand, which could lead to an uneven slowdown across certain sectors of the economy and further weakening of aggregate demand. This requires a monetary policy trajectory characterized by a more rapid and pronounced reduction in interest rates relative to market expectations, with the objective of moderating demand and anchoring inflation near the target over the medium term.

Consequently, emphasizing the build-up of Case A-type risks and underscoring the imperative to manage their macroeconomic implications, the Board of the Central Bank of Armenia decided to keep the refinancing rate unchanged for the current period. The Board resolutely affirms its commitment to adopting the appropriate policy actions and strategy to ensure the price stability objective of 3% inflation in the medium term.

Approved by the Board of the Central Bank of Armenia
June 17, 2025

Governor
Martin Galstyan

Deputy Governors
Armen Nurbekyan
Hovhannes Khachatryan

Board Members
Hasmik Ghahramanyan
Davit Nahapetyan
Artak Manukyan
Narek Ghazaryan

B. Summary of Economic Conditions

Global Economy

In the second quarter of 2025, global economic growth prospects have deteriorated. In the United States, the strong economic growth observed in recent quarters, fueled by an expansion in domestic private consumption, began to slow early in the year due to rising uncertainty surrounding economic policy. Nevertheless, following a moderate contraction in the first quarter of 2025, the U.S. economy is expected to rebound in the second quarter, almost fully offsetting the weak growth observed in the previous period. However, uncertainty remains elevated both regarding the current state of the economy and, more notably, its future outlook. Despite these developments, some major economies—most notably the Eurozone and China—experienced a slight acceleration in growth, likely driven by a short-term increase in orders from the US. However, structural challenges within these economies persist.

Uncertainty surrounding the outlook for US economic policies—particularly trade and fiscal policy outlook—remains elevated. In recent months, this uncertainty has contributed to increased volatility in financial markets and has triggered price corrections across various asset classes, including long-term government bonds. Given the current highly expansionary fiscal stance and expectations of its continuation, significant risks have emerged regarding a potential rise in long-term interest rates. Such developments could impact not only the future course of the Federal Reserve's monetary policy but also influence the neutral interest rate and capital flows to emerging markets.

In recent quarters, there has been significant progress toward easing inflationary pressures in the United States. Nevertheless, several core inflation indicators—such as sticky-price inflation and wage growth—remain significantly above target levels. Concurrently, the trade and fiscal policies implemented by the new U.S. administration pose notable risks of fostering a more inflationary environment, potentially complicating the Federal Reserve's trade-off between maintaining price stability and achieving full employment. The extent and nature of any potential inflationary acceleration will largely depend on domestic demand conditions. The current restrictive migration policy is also a tangible factor that may pose challenges for monetary authorities in sustainably returning inflation to target while reinforcing their commitment to long-term price stability.

In June 2025, the European Central Bank reduced its policy rate by an additional 25 basis points, bringing it down to 2.15%. Headline inflation continues to decline, driven by falling prices of industrial goods, while services inflation—despite some moderation—remains elevated, reflecting polarization across different sectors of the economy. Structural challenges in the Eurozone and China, along with the risk of prolonged weak

domestic demand, remain a key sources of uncertainty in the global economic outlook. On the other hand, the implementation of planned programs aimed at expanding defense and infrastructure capacities in the Eurozone could serve as a significant stimulus for the overall economy, particularly by revitalizing certain productive sectors.

Volatility in the international oil market has increased significantly. Amid slowing global demand and a deteriorating outlook, oil prices have gradually declined in recent months. These trends have been accompanied by both actual and anticipated increases in supply. On the other hand, the sharp escalation of tensions in the Middle East has contributed to a significant recent increase in oil prices. While rising geopolitical risks may further dampen global demand, they also pose substantial risks of disruptions to supply chains. In this context, the primary uncertainty revolves around the duration and scale of the conflict.

Economic activity in Russia has significantly weakened, signaling a gradual adjustment from an overheated economic state. Nevertheless, the primary driving forces remain the expansionary fiscal policy and the growth in private consumption. The labor market continues to exhibit significant tightness. On the other hand, optimistic expectations regarding a resolution to the Russia-Ukraine conflict have led to a significant appreciation of the ruble, which has also contributed to a moderation of inflationary pressures. In this context, in June 2025, the Bank of Russia lowered its policy rate by 1 percentage point, signaling the beginning of a monetary easing cycle. Nevertheless, signals of a sustained decline in inflationary pressures remain weak, and managing the persistently strong domestic demand environment continues to pose a challenge.

Domestic Demand Conditions

In recent quarters, economic activity in Armenia continued to weaken, largely due to the gradual fading of certain short-term, non-structural growth factors, stabilizing around its estimated long-term sustainable level. Nonetheless, the services and construction sectors remained the primary drivers of economic expansion. Sectoral concentration—particularly within specific service industries—has moderated to some extent, though it remains elevated. Encouraging signs also emerged from the manufacturing sector, especially in select sub-sectors that recorded strong growth in output, exports, and production capacity. The current structure of growth continues to generate considerable uncertainty regarding the balance between aggregate demand and aggregate supply. However, it can be noted that the extent of these imbalances has markedly declined in recent quarters.

Since 2022, Armenia has experienced a gradual, natural slowdown in external demand, particularly evident in declining tourism flows. Uncertainties persist regarding seasonal

migration trends to Russia and the channels through which remittances are transferred. On the one hand, if the ruble maintains its current value or strengthens further—particularly with a potential resolution of the Russia-Ukraine conflict—this could increase incentives for migration from Armenia to Russia. However, uncertainties surrounding the outlook and tightening migration policies may act as limiting factors, potentially curbing the growth of migration flows, thereby supporting an increase in labor supply within Armenia and contributing to the easing of inflationary pressures.

Uncertainty continues to surround domestic demand conditions. Strong growth in imports, consumer loans, inbound tourism, and services points to robust domestic demand. However, the persistence of somewhat concentrated economic growth, coupled with its slowing pace, along with the stabilization of core inflation measures below the target, raises concerns about a relatively weak demand environment.

There is considerable uncertainty regarding the impact of fiscal policy on aggregate demand, primarily due to the risk of underperforming tax revenues in 2025, despite the current strong performance of tax collections. Additionally, concerns persist about the potential increase in current expenditures required to fund social support programs. In this context, a higher public debt trajectory may also raise concerns about debt sustainability, contributing to an increase in the country's risk premiums. On the other hand, there are notable risks associated with underperforming capital expenditures and the structural characteristics of these expenditures, which could exert a restrictive effect on demand.

Labor Market & Inflation

The decline and stabilization of the unemployment rate at around 13%, along with steady wage growth in the private sector (ranging from 5–6%), may indicate more balanced labor market conditions.

Nevertheless, surveys on labor market conditions and the actual increase in registered formal sector employment continue to send mixed signals regarding labor market developments. The household survey-based unemployment rate in Q4 2024 stood at 12.9%, closely aligning with the figure from the same quarter of the previous year. A decline in employment was also observed, with a year-on-year decrease of approximately 22 thousand. On one hand, the increase in the unemployment rate compared to 2022-23 may reflect weakening demand conditions and adjustments within the economy. This aligns with a noticeable outflow of foreign workers and a slowdown in wage growth rates during 2024. On the other hand, data from the State Revenue Committee indicate that the total number of registered employees increased by approximately 36.8 thousand over the year. This, along with the still robust wage growth in certain sectors of the economy, may indicate the presence of potentially tighter conditions in the labor market. Alternatively, this growth in registered employees could signal a gradual, structural decline in the shadow labor market in favor of formal employment.

In recent months, wage growth in the private sector has stabilized, although it remains slightly below the level consistent with productivity growth and the inflation target. In the medium and long term, a potential expansion in labor supply could ease labor market conditions further and reduce market-driven pressures. The primary uncertainty in this context relates to the high degree of uncertainty surrounding Russia's economic growth prospects, the flow of Armenian labor migrants to Russia, domestic labor market participation, and the integration of economically inactive populations into the workforce.

Under these conditions, the 12-month inflation accelerated to 4.3% during January-May 2025, primarily driven by a significantly higher seasonal increase in food prices compared to historical levels for the corresponding months. However, this reflects a significant price increase concentrated in a limited number of goods and does not represent a broad-based inflationary trend. It is worth noting that of the approximately 0.3% month-on-month inflation recorded in May, about 0.1 percentage points were attributable to seasonal food products, particularly potatoes (0.3 percentage points).

Deflationary pressures transmitted from the external sector on non-food goods persist. Simultaneously, amid ongoing adjustments in external demand, prices for certain services have either continued to decline or increased significantly below the overall inflation rate. Nevertheless, the Non-Traded Sticky Price Inflation, which captures domestically driven demand dynamics, has stabilized within the 2–3% range. In this context, inflation expectations have continued to steadily decline, approaching the target level, supported by a prolonged low-inflation environment.

Monetary Policy

Market expectations of the CBA policy rate path have remained unchanged since the latest decisions, and continue to reflect a gradual reduction in the policy rate to 6.25% over the next eight decisions. Considering the above, along with minimal changes in expectations regarding economic fundamentals, the yield curve has remained largely unchanged following the previous decision and communication.

In recent months, Armenia's sovereign risk premium has remained below the long-term stable level determined by the country's fundamentals. However, it is important to note that upward risks to the country's risk premium have increased lately. This reflects uncertainties surrounding Armenia's fiscal policy—particularly debt sustainability—as well as geopolitical risks, including border tensions and regional developments. In this context, a potential upward adjustment of the country risk premium poses risks for a revision of the neutral rate to the upside, which, all else being equal, could create inflationary pressures due to a more accommodative monetary policy stance. At the same time, Armenia's macroeconomic stability and strong economic growth provide certain positive factors for a possible reassessment of the country's risk premium and a potential reduction in the neutral rate.

Considering the persistence of numerous types of uncertainty, the CBA builds and evaluates several different scenarios for future economic developments in order to manage possible risks stemming from these key areas of uncertainty. The illustrative Case A scenario outlined in the Monetary Policy Report, which necessitates a policy rate path higher than market expectations, is grounded in the assumption that a significantly more expansionary fiscal stance may emerge in the United States as a result of a potential weakening in fiscal discipline. Under this scenario, rising concerns over public debt and its sustainability could exert upward pressure on neutral interest rates globally, including in emerging markets such as Armenia, thereby necessitating a higher trajectory for the policy rate.

The illustrative Case B scenario outlined in the Monetary Policy Report, which assumes a lower policy interest rate path compared to market expectations, is grounded in the

assumption that, in recent years, the high debt burden in Armenia's private sector, particularly in certain segments, combined with the continued and gradual adjustment in external demand may lead to a more "cost-sensitive" environment. Specifically, although the aforementioned trend of a natural deceleration in growth within these sectors is expected, the accumulated debt, along with the potential further adjustment in incomes, poses risks of a disproportionate decline in investment, employment, and the consumption of intermediate goods and services in those areas.

In the context of the latent risks and uncertainties in the current period, the CBA builds and discusses various scenarios, summarized in the Taxonomy of Scenarios, with the aim of managing possible risks and assessing sources of uncertainty. At the same time, the MPR includes a deeper dive into two illustrative scenarios, which reflect illustrative future paths of the economy that would require either a higher path for the policy rate (Case A) or a lower path of the policy rate (Case B) relative to current market expectations. These illustrative scenarios do not represent a most-likely future, assign weight or probability to outcomes, or include all possible risks and uncertainties.

02 |

Monetary Policy Objectives & Framework

Statement of Long-Run Monetary Policy Objectives

Adopted effective March 12, 2024; renewed effective March 18, 2025

As enshrined in “The Law of the Republic of Armenia on the Central Bank of Armenia,” the primary objectives of the Central Bank of Armenia are to ensure price stability and financial stability. The Board of the CBA is committed to using its full suite of monetary policy instruments to achieve its price stability mandate and provide a nominal anchor for the economy.

We emphasize that the primary objectives of price stability and financial stability are a means to an end. The ultimate purpose of the CBA as an accountable public-sector institution is improving the welfare of our nation. A commitment to achieving low and stable inflation provides a credible nominal anchor for the economy and thereby anchors inflation expectations, helps to avoid inefficient boom-bust cycles, stimulates investment, supports the economic development of the country, and improves living standards over time.

The CBA develops and implements monetary policy to achieve its price stability objective. The fundamental role of monetary policy is to provide an anchor for inflation and inflation expectations. The Board believes that a three percent inflation target is consistent with its price stability mandate. The inflation target is expressed in terms of the Consumer Price Index (CPI), since it is the best measure of the cost of living and final consumption expenditures, and is the primary reference point for market participants when making planning decisions and setting contracts. Nevertheless, the overall CPI basket of goods and services includes several items that are subject to seasonal fluctuations and global economic developments, which are not directly influenced by monetary policy. We therefore consider alternative measures of inflation, such as core and non-traded sticky prices, which can provide useful information on the underlying inflationary environment.

The CBA’s primary means of adjusting the stance and path of monetary policy is through changes in the expected path of short-term interest rates. If interest rates were to be constrained by the effective lower bound, the Bank would be prepared to use its full range of policy tools.

While emphasizing the primacy of achieving the price stability and financial stability mandates over the medium term, the CBA recognizes that it is also responsible for managing the short-run tradeoff between inflation and output. In an open market economy, periodic economic and financial shocks cause economic activity and inflation to fluctuate over time. In this context, the CBA does not target CPI inflation on a period-by-period basis and does not attempt to bring CPI inflation back to the target in the short term if it would result in undue economic and financial instability. In any economic situation, the CBA seeks to develop and implement monetary policy in a manner that brings inflation to the target in the medium-term (12 quarter) horizon, while minimizing associated social costs through a “least regrets” approach.

Effective monetary policy improves welfare by anchoring long-term inflation expectations and reducing the volatility of output and unemployment. Avoiding excessive volatility in the economy can result in substantial improvements in welfare by fostering employment and raising the productive capacity of the Armenian economy. The Bank emphasizes that placing weight on other near-term objectives must not be inconsistent with its primary responsibilities of achieving its three percent target in the medium term and maintaining price and financial stability.

The Board places great emphasis on the importance of communicating its policy and decision-making framework to the public in a clear and comprehensible manner. Clear and effective communication helps make policy more effective, and encourages financial markets, businesses, and the general public to better understand and manage risks and uncertainties. Moreover, this communications approach plays an important role in enhancing the transparency of monetary policy and central bank accountability, which is a key priority for the CBA as an independent public sector institution.

The Board will review and renew the Statement of Long-Run Monetary Policy Objectives during the first decision-making round of each year.

Framework for Monetary Policy as Risk Management

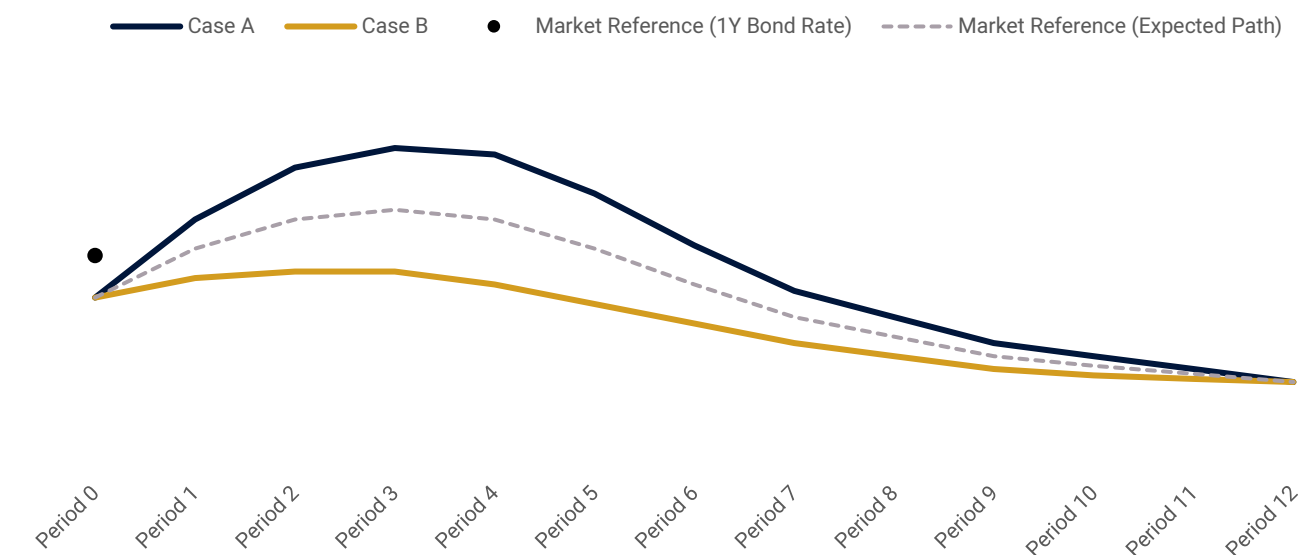
The CBA conducts monetary policy within a risk management framework to analyze and communicate the uncertainty surrounding the economic outlook more effectively. Our approach is to consider alternative scenarios for the evolution of the Armenian economy that have important implications for monetary policy. Elevated uncertainty is a reality that central banks must manage, and we do this by explicitly incorporating it into our framework and communication. We develop and analyze multiple scenarios that would imply a higher or lower path for interest rates than is currently priced in financial markets. At the same time, to steer the policy discussion and communication, we develop two or more illustrative scenarios. These scenarios should not be interpreted as pure risk scenarios, but are meant to represent plausible paths for the policy rate that could be consistent with managing monetary policy risks and concerns in an individual's economic scenario.

Market Reference is the expected path of the policy rate that is currently priced in financial markets. Ideally, if financial markets in Armenia were more developed, and there existed a derivative market for the policy rate, then we could construct an expected path based solely on market information. We therefore use the 1-year government bond yield, which should reflect the expected average policy rate over the next 12 months, plus some compensation for term premium. In addition, we conduct high-frequency surveys of market participants before, during, and following each decision-making cycle as another reference point for expectations of the policy rate.

Case A reflects a scenario that incorporates economic and financial developments that would require a higher interest rate path than what is currently priced in financial markets that is consistent with guiding the economy back to its long-run equilibrium and to achieve price stability objective.

Case B reflects a scenario that incorporates economic and financial developments that would require a lower interest rate path than what is currently priced in financial markets that is consistent with guiding the economy back to its long-run equilibrium and to achieve price stability objective.

Figure 2.1: Alternative Paths for the Policy Rate



Source: CBA

Note: For Illustrative Purposes Only

To learn more about the Central Bank of Armenia's approach to monetary policy, refer to the draft book, [Prudent Risk Management Approach to Monetary Policy: Theory and Practice of FPAS Mark II at the Central Bank of Armenia](#), edited by Douglas Laxton, Martin Galstyan, and Vahe Avagyan (2024).

Report Structure

The MPR begins with the Executive Summary, which provides the Statement by the Board of the CBA as well as a high-level assessment of economic conditions and underlying forces. The Executive Summary is also issued as a standalone document, known as the Executive Monetary Policy Statement.

Section III presents in greater detail the CBA's implementation of this policymaking framework. It begins with an assessment of the first two ingredients essential for economic analysis: where is the economy now, and what are the underlying forces driving the economy. This section also communicates how the CBA is managing current risks through a framework of "least regrets." This includes a taxonomy of different types of scenarios that may be relevant in the current policy round, reflecting a summary of the universe of major issues the Board and Staff of the CBA, as well as external stakeholders, are concerned about. Against this context, the MPR presents two or more illustrative case scenarios representing what the CBA will do with its policy instruments in order to reach its objectives.

The statistical appendix is published as a separate file, known as the MPR Chart Pack, which contains charts and tables for relevant economic variables, as well as key projections from the illustrative case scenarios.

Importantly, the MPR of the CBA is published on the same day as the policy decision is made by the Board of the CBA. This is intended to provide the public with sufficient detail and narratives that describe the framework and analysis that led to the decision in a near-real-time manner. Following the decision and press conference, a separate Transparency Report is released, containing more detailed information about how the Board came to the specific decision during the Board meeting.

Disclaimer

The information presented in this report is based on actual data available by June 13, 2025 as well as the results of the surveys conducted by the CBA and judgments made pursuant to the information on future developments of the macroeconomic environment.

The Monetary Policy Report serves as the chief monetary policy communications vehicle for the Central Bank of Armenia, and is published on a quarterly basis. The MPR has been designed to be a user-friendly document that covers key policy-relevant issues but remains accessible to technical and non-technical audiences alike. The report is structured to follow a narrative format that helps illustrate the key issues, risks, and uncertainties that drove the Board's thinking in the current decision-making round and how it arrived at its policy decision. Not all data, analysis, or issues can be reasonably included in the MPR in every quarter without overwhelming the reader or overshadowing key messages. For this reason, the MPR is supplemented with a Chart Pack that provides a complete and comprehensive overview of the current and underlying economic environment.

A decision made by the CBA Board today will affect inflation with a lag. The illustrative scenarios are chosen and designed by our Monetary Policy Department's economists to describe plausible paths of the economy under different risks. Importantly, the selected illustrative scenarios are two of many possible scenarios that the Board considers when making its decisions, which are represented in the Taxonomy of Scenarios in Section III. During each policymaking cycle, the Board is engaged in dynamic discussions and information-sharing with the Staff related to understanding the current position of the economy, its underlying drivers, and key sources of policy-relevant risk and uncertainty. These discussions, including the process through which the Taxonomy of Scenarios is developed and the illustrative scenarios are selected and quantified, are an important input for Board deliberations. The Taxonomy of Scenarios and the selected illustrative scenarios are produced four times a year and are a key, but not the only, input to the CBA Board's monetary policy decisions.

All monetary policy reports which have been published to date are available on the CBA's website (www.cba.am), which also contains all press releases, working papers, and other monetary policy-related publications.



Central Bank
of Armenia

03 |

Monetary Policy
Outlook

A. Global Economic Developments

United States Economy

In the United States, uncertainty remains elevated regarding both the current pace and trajectory of economic growth, and especially the outlook. In the first quarter of 2025, real GDP growth—previously supported by strong domestic demand—slowed sharply, registering a -0.2% Q-o-Q annualized rate. This downturn likely reflects the materialization of risks associated with heightened uncertainty around trade policy and broader economic policy decisions. Under these conditions, a notable shift in consumer preferences has occurred, with demand tilting toward imported durable goods (Figure 3.A.1). On the other hand, the recorded contraction may partly be of a technical nature, linked to a surge in imports ahead of anticipated tariff increases. Given the challenges of capturing such shifts through survey-based estimates, this effect may only be partially reflected in the measured growth of consumption, investment, or inventories.

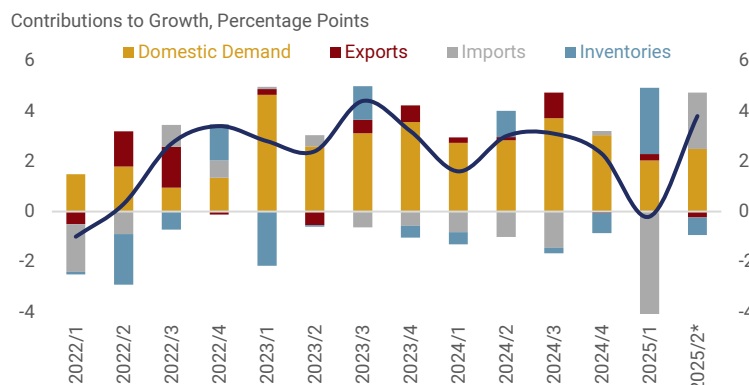
Recently, there has been notable progress toward easing inflationary pressures. In April 2025, the Y-o-Y increase in the Personal Consumption Expenditures (PCE) price index stood at 2.1%. This progress has been achieved without a significant rise in unemployment. However, several indicators of core inflation—particularly sticky prices—remain well above target. At the same time, uncertainty persists regarding labor market conditions. Although the unemployment rate increased to 4.2% in May, the still-elevated levels of job vacancies and private sector wage growth may indicate ongoing inflationary pressures stemming from the labor market.

The prospect of a more accommodative fiscal stance could support sustained growth in private consumption. However, this could also lead to an increase in public debt and long-term interest rates. Moreover, the actual and anticipated tightening of trade and migration policies introduces significant risks of further inflationary pressures. Considering that inflation has remained persistently above target for an extended period, the Federal Reserve may face new challenges in managing policy trade-offs between maintaining price stability and achieving maximum employment.

The main challenges for monetary policy are managing “last mile” efforts to bring inflation back to target and the risks of an undesirable, sharp weakening of demand in an environment of high uncertainty. Given recent developments and expectations related to these risks, financial markets anticipate that the U.S. Federal Reserve will gradually lower the policy rate by approximately 75 basis points over the next eight decisions.

Uncertainty surrounding the current pace of economic growth and its outlook remains elevated

Figure 3.A.1: Contributions to US Real GDP Growth

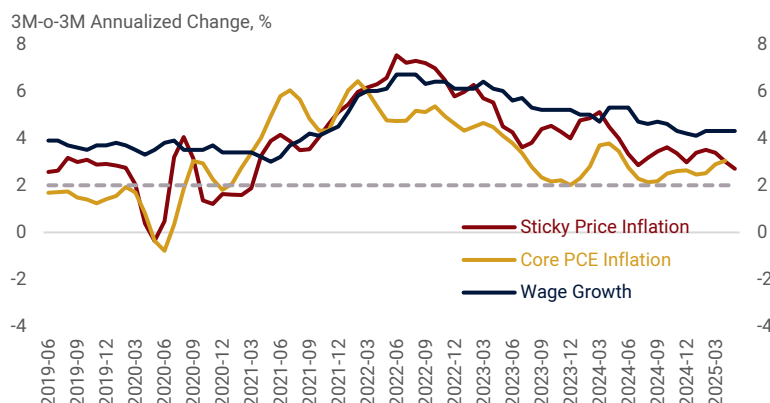


Source: Bureau of Economic Analysis (BEA), Federal Reserve Bank of Atlanta

Note: The data for the second quarter of 2025 are preliminary, based on the Atlanta Federal Reserve Bank's "GDPNow" estimate as of June 5.

The Federal Reserve continues to face the critical challenge of sustainably aligning inflation with its target

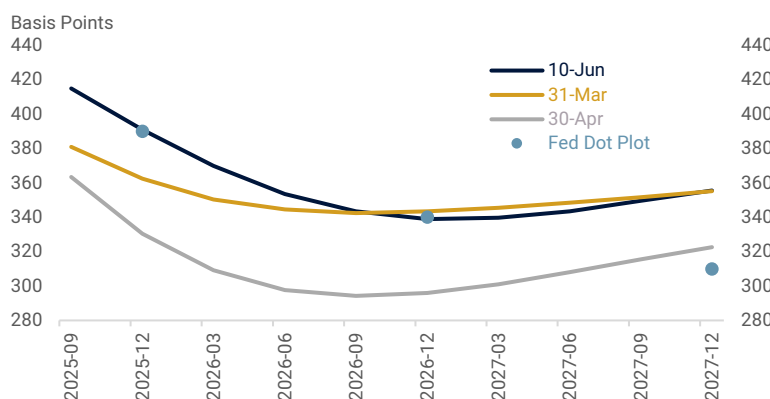
Figure 3.A.2: Underlying Inflation Measures, US



Source: BLS; BEA; Atlanta Fed

Financial market participants in the U. believe that the Federal Reserve will implement a more rapid approach to easing monetary policy

Figure 3.A.3: Market Expectations of FED Funds Rate Path



Source: Atlanta FED, Federal Reserve Board

Eurozone Economy

In the first quarter of 2025, the euro area recorded strong economic growth of 0.6% quarter-on-quarter annualized (Figure 3.A.4), resulting in a Y-o-Y increase of 1.5%. It is important to note that exports of goods contributed 0.7 percentage points to the quarterly growth, driven by elevated import volumes in the United States amid expectations of tariff impositions, which may neutralize in the near future. Domestic demand remains weak. Imbalances between aggregate demand and supply persist in certain sectors, contributing to sustained high inflation in the services sector, largely fueled by strong external demand.

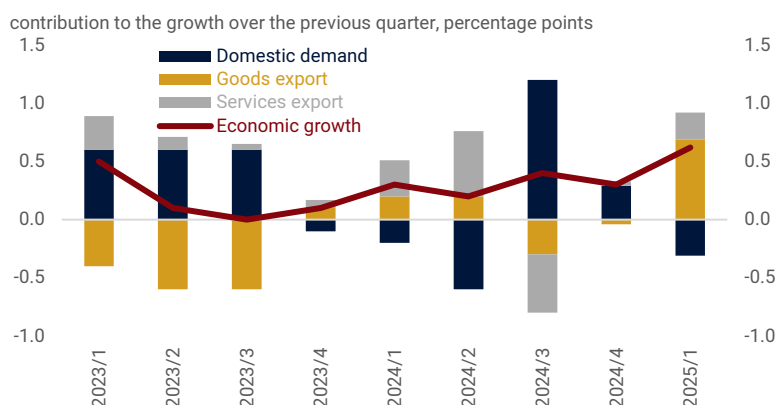
Uncertainty surrounding the medium-term economic growth outlook in the Eurozone remains elevated. Leading indicators of the overall economic environment, such as the PMI's, suggest a gradual slowdown of the services sector, which is a key driver of growth (Figure 3.A.5). Meanwhile, the manufacturing sector shows signs of recovery, despite persistent significant structural challenges. In this context, risks could go in either direction. On the one hand, the potential tightening of US trade policy towards the Eurozone, combined with the expected further weakening of domestic demand in China, could present additional significant challenges to the recovery of this sector. Moreover, US tariffs on certain major economies may worsen problems in the Eurozone's manufacturing sector by increasing competition both within the Eurozone and in third-country markets. On the other hand, it should also be noted that, given the current geopolitical developments, a significant potential increase in military and infrastructure spending by the Eurozone could provide a strong boost to the recovery and revitalization of industry, particularly in certain sectors (See Box 1).

Over recent months, inflation in the Eurozone has eased significantly, approaching the target level and reaching 1.9% Y-o-Y in May 2025. At the same time, core inflation indicators, particularly service price inflation, have also moderated somewhat but remain well above the target (Figure 3.A.6). In April 2025, the unemployment rate in the Eurozone declined moderately to 6.2%, reaching a historically low level. Considering the still elevated core inflation and wage growth, this likely reflects tight labor market conditions.

It should be noted, although the ECB continued to reduce its policy rate in June 2025, the uncertainty around the policy trajectory remains, especially given the need to manage stagflationary risks, given both inflationary effects stemming from the tight labor market and a weakening global growth outlook.

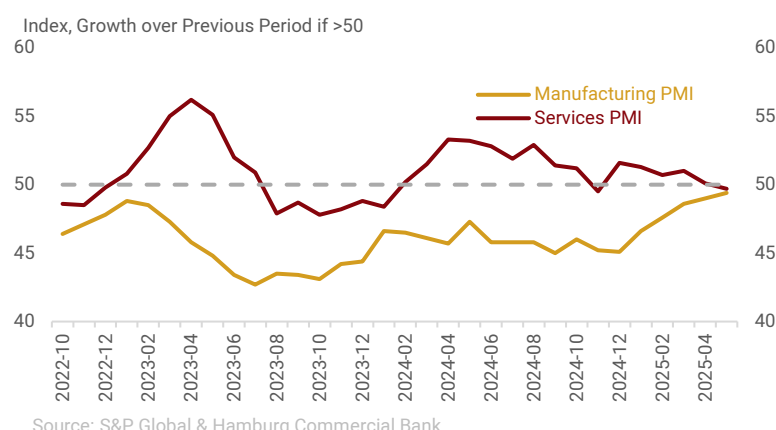
Economic growth is accelerating, influenced by certain short-term factors

Figure 3.A.4: Real GDP growth in the Euro Area by Expenditure Components



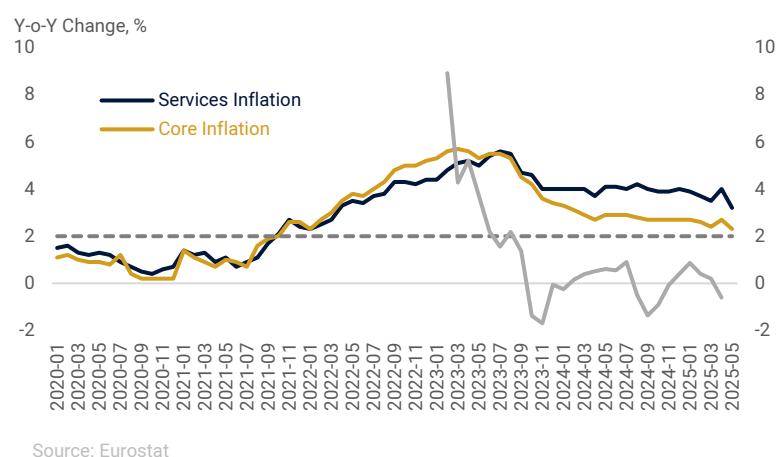
The services sector remains the primary driver of economic growth, while manufacturing industry continues to struggle with persistent structural challenges

Figure 3.A.5: Composite Purchasing Managers Index (PMI), Euro Area



Mixed signals from core inflation indicators give rise to varying interpretations about the state of the economy

Figure 3.A.6: Underlying Inflation Measures, Euro Area



Box 1. The potential impact of defense and infrastructure programs on the Euro Area economy

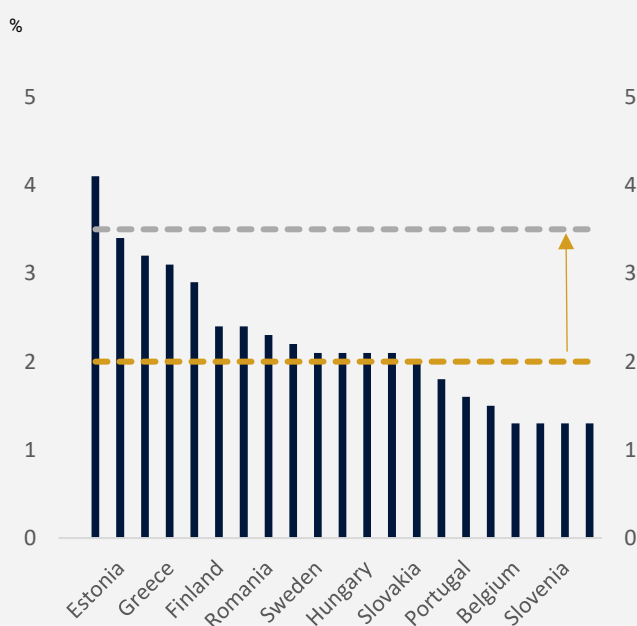
Amid the re-evaluation of economic policies by the new U.S. administration, heightened geopolitical uncertainty and recurrent tensions surrounding various conflicts, several major global economies — including countries in the Euro Area—are planning significant increases in defense and infrastructure spending. Currently, defense expenditures in the Euro Area, while varying substantially across economies, average around 2% of GDP (Figure B.1.1). In response to the above-mentioned risks, this share is expected to rise to 3.5% of GDP in the coming years, and potentially up to 5% when including broader defense capabilities and infrastructure-related investments. This implies a considerable expansion of the fiscal stance over the next 4–5 years, with large-scale programs that could substantially accelerate economic growth in the Euro Area.

To meet the likely new targets, the European Commission (EC), along with several member countries, has introduced new fiscal packages aimed at strengthening defense and developing strategic infrastructure. The EC's fiscal package envisions €800 billion in investments in defense and infrastructure through three key mechanisms. First, the European Council has activated the "Escape Clause," which allows member states to temporarily increase their budget deficits by up to 1.5% of GDP over a four-year period. Second, the SAFE (Security Action for Europe) program enables the issuance of up to €150 billion in bonds to raise capital from the market, with funding distributed based on country-specific needs. The third component of the package focuses on mobilizing private sector participation in long-term investment projects, supported by financing from the European Investment Bank. Simultaneously, individual countries—such as Germany—have also introduced their own fiscal packages. Germany's plan includes approximately €500 billion in additional investments in transportation, green energy infrastructure, and defense over the next decade, while also easing fiscal constraints to support these initiatives.

These factors, amid rising debt trajectories in the respective economies, have exerted some upward pressure on long-term real interest rates, thereby increasing financing costs for the private sector (crowding out private investment). At the same time, depending on the speed and structure of program implementation, these developments could further tighten already constrained labor market conditions, contributing to a rise in underlying inflation and necessitating a higher interest rate path. Nevertheless, the fiscal expansion—being partly directed toward enhancing productive capacity—is expected to support medium-term economic growth in the Euro Area, adding approximately 0.2 percentage points annually (Chart B.1.2). It is also worth noting that increased infrastructure and defense-related spending could have a significant impact on certain commodity markets, particularly driving up prices of metals and oil.

The new defense spending target may pose challenges for several European countries.

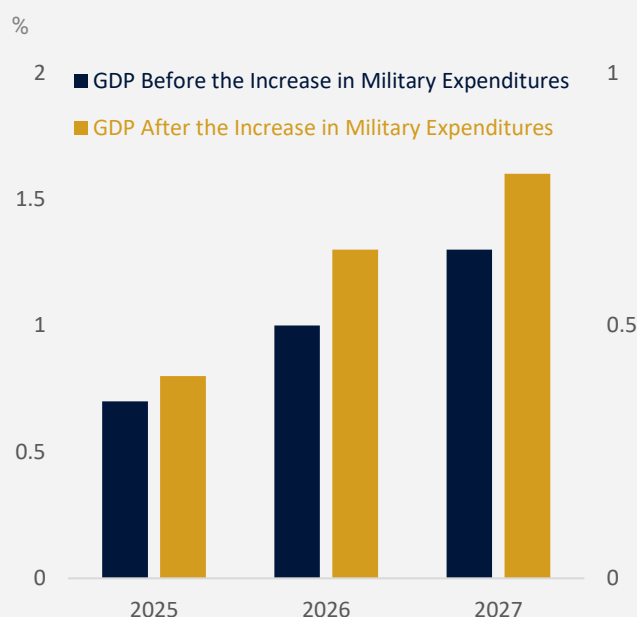
Figure B.1.1 The share of European countries' military expenditures in GDP, 2024..



Source: Respective national statistical agencies.

An increase in defense spending may contribute to shaping more positive growth prospects.

Figure B.1.2. Euro Area Economic Growth Estimates



Source: Goldman Sachs

Russian Economy

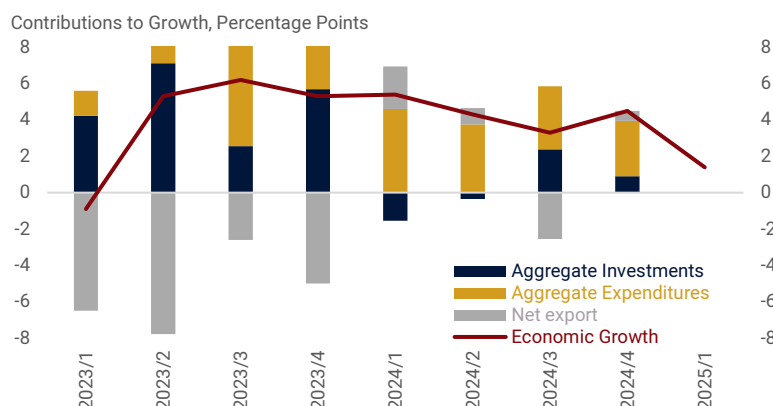
In the first quarter of 2025, economic growth in Russia slowed significantly, reaching 1.4%, indicating a gradual normalization from an overheated state of the economy (Figure 3.A.7). While overall industrial output continues to decline, high growth persists in specific segments of manufacturing—particularly in the defense industry and related sectors—supported in part by the expansion of production capacity. However, the main driver of growth remains high domestic demand, driven by significant increases in government spending and household incomes. Meanwhile, the prolonged period of elevated market interest rates has led to a significant slowdown in credit growth. Labor market conditions have somewhat eased but remain relatively tight. Unemployment remains at historically low levels, standing at 2.3% in April 2025. At the same time, the pace of real wage growth has continued to decelerate (Figure 3.A.8). It is also important to note that the Intensifying competition for resources between the defense sector and other parts of the economy, along with persistent labor shortages, continues to constrain further expansion of production capacity, contributing to the persistence of a high-inflation environment.

Amid excess demand conditions in the economy, inflation remains elevated, reaching a Y-o-Y rate of 9.9% in May 2025. However, signals of a significant slowdown in domestic demand, combined with the sharp depreciation of the ruble, have recently contributed to a weakening inflationary environment, with monthly inflation approaching the target level (Figure 3.A.9). In this context, in June 2025, the Central Bank of Russia reduced its policy rate by 1 percentage point to 20%, marking the first cut since July 2023.

Uncertainty surrounding the economic growth prospects in Russia remains elevated. On one hand, ongoing negotiations to resolve the Russia-Ukraine conflict and positive signals regarding its imminent conclusion provide a foundation for a moderately positive medium-term outlook for the Russian economy, which is already partly reflected in financial markets. On the other hand, uncertainty remains high regarding the nature and conditions of normalization of relations with the West. In parallel with these developments, the Russian economy remains vulnerable to fluctuations in the oil market. While prices have risen due to the current geopolitical situation, uncertainty surrounding their outlook has increased significantly, driven by both supply-side and, in particular, demand-side factors. At the same time, the recent imposition of more targeted sanctions by Western countries (especially on Russia's shadow fleet) and their continued tightening pose risks to Russia's medium-term growth prospects.

Domestic demand continues to outstrip capacities to expand production of goods and services

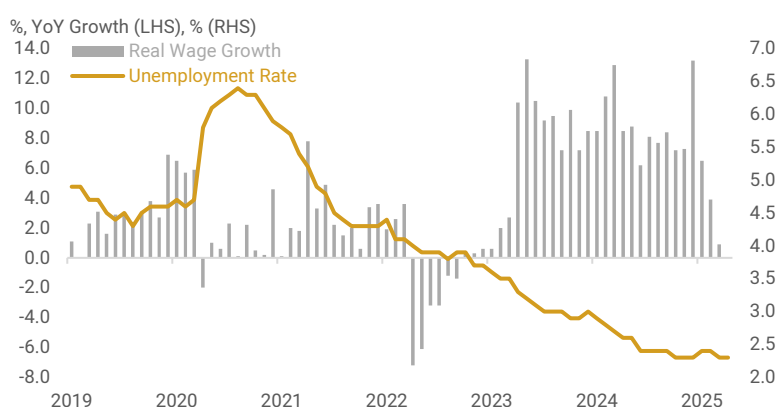
Figure 3.A.7: Contributions to Real GDP Growth, Russia



Source: Federal State Statistics Service

Low unemployment and high wage growth reflect a shortage of labor supply, which limits the growth of production capacities

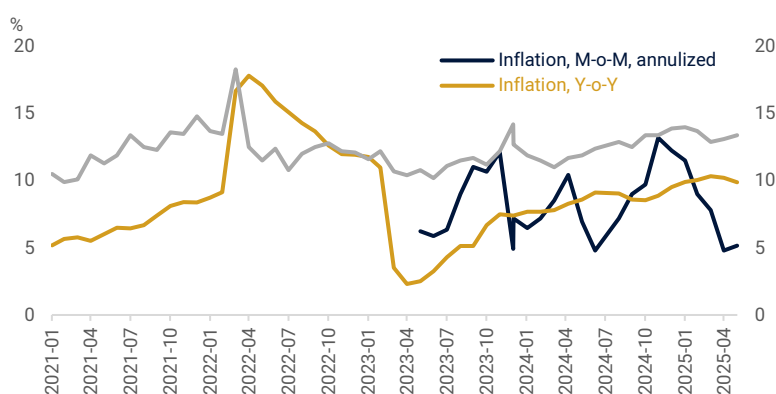
Figure 3.A.8: Unemployment Rate and Real Wage Growth, Russia



Source: Federal State Statistics Service

Despite current signs of easing inflationary pressures, risks to its persistence remain

Figure 3.A.9: Russian inflation indicators



Source: Bank of Russia

Commodity Markets

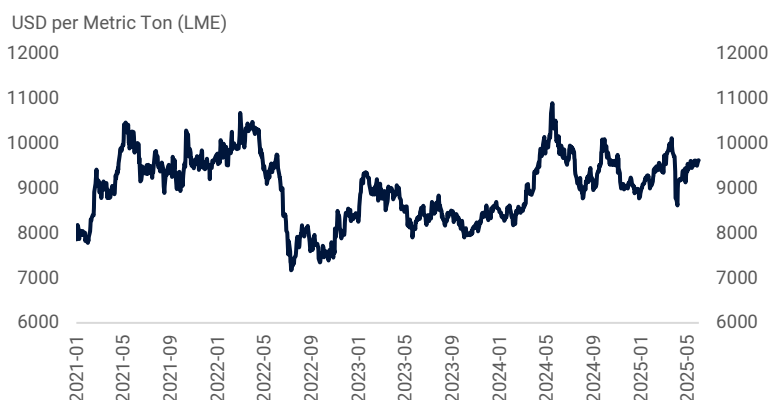
Copper: International copper prices increased moderately in the second quarter of 2025, stabilizing around USD 9,500 (Figure 3.A.10). However, uncertainties remain regarding global copper demand and price prospects. On one hand, persistent global economic uncertainty and the potential tightening of trade policies, reflected in expectations of slower global demand, exert some downward pressure on prices. On the other hand, the development of green technologies and increased spending on defense industry and infrastructure projects within the EU could significantly boost demand for certain metals, particularly copper, supporting upward price pressures.

Oil: Global oil prices have continued to exhibit significant volatility in recent months, driven by uncertainties surrounding global economic prospects, geopolitical developments, and global supply. Weak domestic demand in China and the Eurozone, along with the risk of a sharp drop in U.S. domestic demand, weigh on global oil prices. Additionally, planned production increases by several major OPEC+ members from April 2025, totaling up to 2.2 million barrels per day, add further downward pressure. Due to the above-mentioned factors, oil prices had declined, settling in the range of \$63–\$65 (Figure 3.A.11). However, at the current stage, the sharp escalation of the Israel-Iran conflict and the high uncertainty surrounding its outlook represent the most significant risk pushing oil prices—and their volatility—upward. This has led to a notable increase of around 15% in prices in recent days. It should be noted that approximately 20% of the global oil supply comes from the region adjacent to this conflict, posing substantial inflationary risks in the event of supply disruptions.

Food: In May 2025, international food commodity prices increased by approximately 6% year-on-year, slightly declining compared to the previous month. This development was mainly driven by more optimistic expectations regarding actual and future crop volumes, alongside a moderate easing of global demand. Notably, significant price heterogeneity was observed among individual food items within the index, with dairy prices rising by about 21% year-on-year, while grain prices declined by approximately 8%. Supply chain disruption risks, including those related to geopolitical tensions and trade conflicts, along with weaker-than-expected global economic growth prospects, continue to contribute to high uncertainty around global food prices and the prices of food imports to Armenia.

High volatility in global copper prices reflects the significant uncertainty surrounding global demand and economic policies

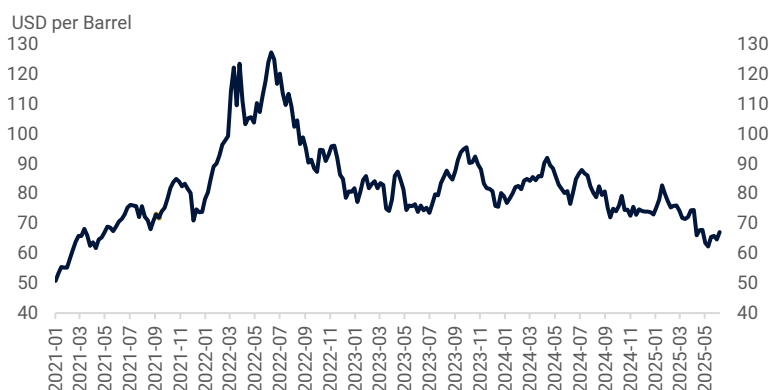
Figure 3.A.10: Copper Prices



Source: Bloomberg

Oil price volatility has increased significantly, driven by heightened geopolitical tensions, uncertainty over the global demand outlook, and prospects of rising supply.

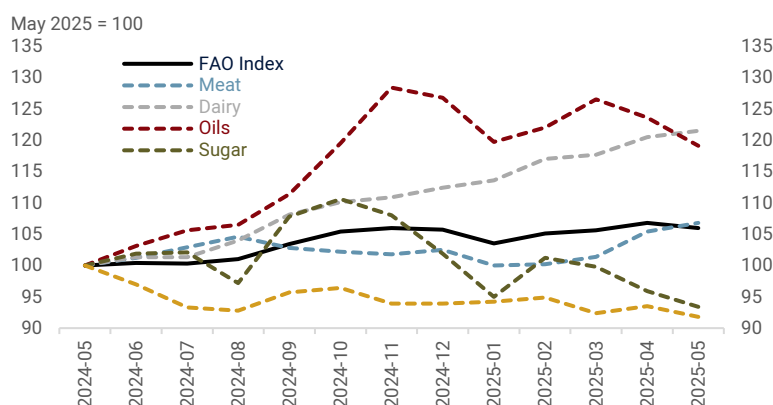
Figure 3.A.11: Brent Crude Oil Prices



Source: FRED

Although global food prices have recently shown signs of stabilization, developments across individual commodity markets remain highly uneven.

Figure 3.A.12: Food Price Index of the Food and Agriculture Organization (FAO)



Source: FAO

Table 3.A.1: Third-Party Projections for Commodity Prices

Source/Topic Date	Oil (Brent, USD/barrel)			Copper (USD/ton)			World Bank Global Food Price Forecast (Annual Growth)		
	ETIA May-25	WB May-25	Consensus June-25	WB Apr-25	REQ Mar-25	Consensus June-25	Oils and Meals Apr-25	Grains Apr-25	Other Food Apr-25
2025	66	64	68	8200	9511	9277	-16.8	-10.5	-4.6
2026	59	60	65	8000	9715	9631	-0.3	-1.1	-2.0

Source: US Energy Information Administration; World Bank; Australia Resources and Energy Quarterly (REQ); Bloomberg

Table 3.A.2. Third-Party Projections for GDP Growth and Inflation in Key Trading Partner Countries

Source Date	USA					EU						RF				
	IMF Apr-25	WB June-25	OECD Mar-25	Fed Mar-25	Consensus June-25	IMF Apr-25	WB June-25	OECD Mar-25	EC May-25	ECB June-25	Consensus June-25	IMF Apr-25	WB June-25	OECD Mar-25	CBR May-25	Consensus June-25
Economic Growth (Y-o-Y, %)																
2024 (F*)			2.8						0.9					4.3		
2025	1.8	1.4	1.6	1.7	1.4	0.8	0.7	1.0	0.9	0.9	0.9	1.5	1.4	1.3	1.5	1.4
2026	1.7	1.6	1.5	1.8	1.6	1.2	0.8	1.2	1.4	1.1	1.1	0.9	1.2	0.9	1.7	1.2
2027	2.0	1.9	-	1.8	1.9	1.3	1.0	-	-	1.3	1.5	1.1	1.2	-	1.9	1.4
Inflation (Y-o-Y, %)																
2024 (F*)			3.0						2.4					8.4		
2025	3.0	-	2.8	2.7	3.0	2.1	-	2.2	2.1	2.0	2.0	9.3	-	9.9	9.2	9.2
2026	2.5	-	2.6	2.2	2.8	1.9	-	2.0	1.7	1.6	1.9	5.5	-	6.3	5.5	5.3
2027	2.1	-	-	2.0	2.4	2.0	-	-	-	2.0	2.0	4.0	-	-	4.3	4.4

Source: IMF; World Bank (WB); OECD; Fed; ECB; CBR; European Commission (EC); Bloomberg

B. Domestic Demand Conditions

Gross Domestic Product

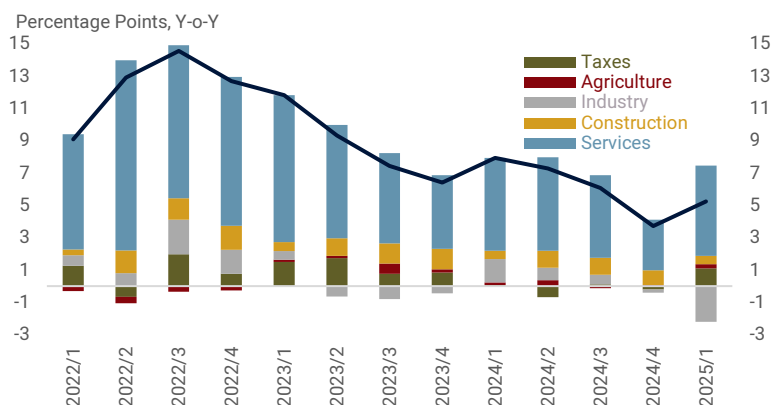
In Q1 2025, economic growth in Armenia accelerated slightly, reaching 5.2% Y-o-Y, moving closer to an estimated stable level. Significant shifts in the composition of growth continued to emerge (Figure 3.B.1). The strong performance of the services sector was largely driven by the “financial and insurance activities”, contributing around 4.2 percentage points to overall growth. In contrast, growth in external demand-driven sub-sectors such as culture and entertainment, accommodation, and food services weakened notably. The decline in industrial output reflects the impact of reduced external trade flows on a limited number of sub-sectors, whereas signs of recovery persist in traditional segments of manufacturing, also reflected in export performance. However, growth remains concentrated in certain manufacturing sub-sectors, and medium-term risks around capacity expansion remain elevated. In the information and communication sector, despite high recorded growth, key indicators such as employment, wages, and other sector-specific metrics do not yet suggest capacity expansion. In the construction sector, while growth remains robust, medium-term risks to the sustainability of this growth persist.

Economic growth continues to be influenced by the gradual normalization of external demand. In particular, following the high growth recorded in 2022–2023, the downward trends in the number of tourist arrivals persist (Figure 3.B.2). While transfers have increased to some extent, they remain at relatively low levels—potentially indicating a decline in the number of Armenian citizens leaving for work in Russia. It should also be noted that significant uncertainty regarding the outlook for external demand persists, driven both by the potential resolution of the Russia-Ukraine conflict and its conditions, as well as by the fragility of the global economic situation, particularly in relation to the further tightening of trade policies.

In this context, the output gap for Q2 2025 is estimated to be closed (Figure 3.B.3). However, the slowing pace of economic growth, its non-inclusive nature, and divergent developments across sectors introduce uncertainties regarding the relative position of aggregate demand and supply in the economy. On the one hand, strong loan growth and elevated private spending indicate sustained excess demand pressures in the economy. On the other hand, the continued concentration of growth in certain sectors, along with signs of easing labor market conditions (see Section C), may point to the formation of a weak demand environment and the presence of a negative output gap in the economy.

In recent quarters, the pace of economic growth has gradually moderated, aligning with more stable and sustainable levels

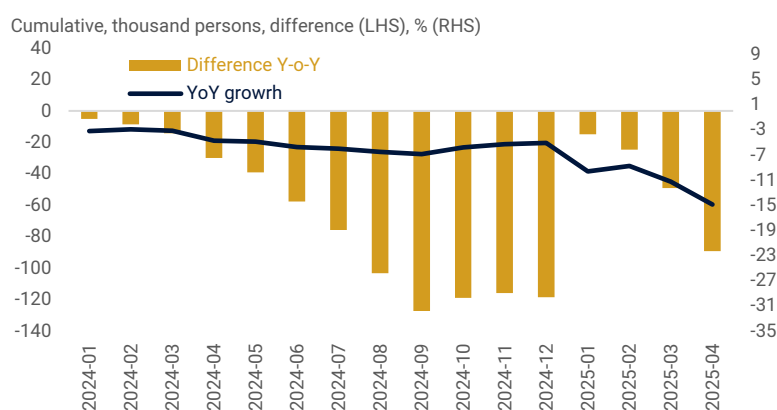
Figure 3.B.1: Contribution to Real GDP Growth by Production Approach



Source: Statistical Committee of the Republic of Armenia; CBA

External demand continues to gradually adjust

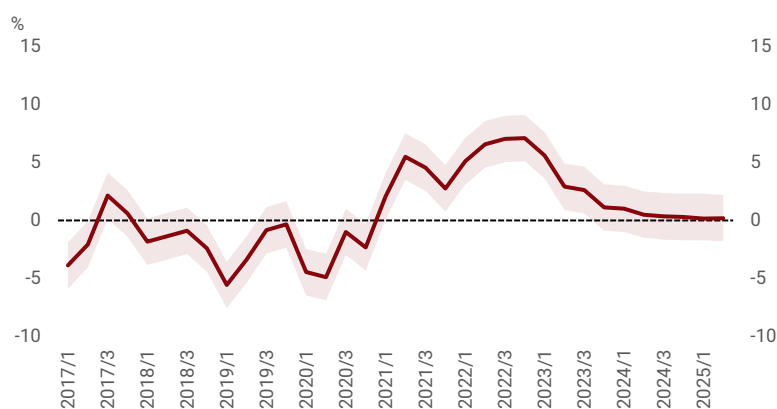
Figure 3.B.2: Inbound Tourists Number



Source: Statistical Committee of the Republic of Armenia; CBA

Imbalances between aggregate demand and supply have gradually moderated

Figure 3.B.3: The Output Gap



Source: CBA

Consumption and Investment

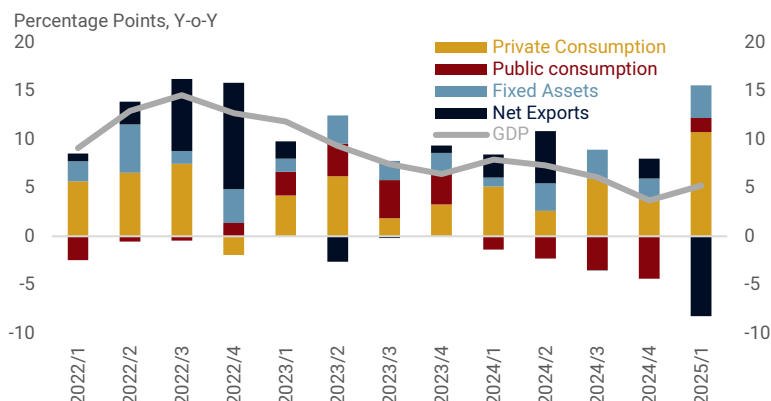
Private consumption, which had been subdued relative to overall economic growth in the past couple of years, has shown an accelerating trend since the second half of 2024, recording a Y-o-Y increase of 15.3% in the first quarter of 2025 (Figure 3.B.4). Similarly, gross investment growth, which had slowed somewhat by the end of 2024 due to the significant under-execution of capital expenditures, accelerated in the first quarter of 2025, driven by growth in both private and public investment (Figure 3.B.5). The substantial increase in private spending may be attributed to continued strong growth in lending to households and the private sector, as well as the utilization of accumulated savings. This likely reflects the emergence of robust domestic demand within the economy. On the other hand, foreign trade flows weakened significantly in the first quarter of 2025, introducing a degree of uncertainty not only regarding actual export and import dynamics but also their statistical accuracy in assessing the impact on private consumption and investment.

Uncertainties remain regarding the outlook for domestic demand. On the one hand, domestic demand could grow on the back of spending from previously accumulated savings in the private sector over recent years, as well as sustained high credit growth. Such a scenario could fuel further excess demand pressures (particularly if the economy is operating at or slightly above its potential output) thereby increasing inflationary pressures. On the other hand, non-widespread economic growth and weakening labor market conditions (Figures 3.C.1 and 3.C.4) present risks of persistently weak demand and its further deterioration, as reflected in the continued presence of a relatively low inflation environment (Figure 3.C.6). Moreover, elevated geopolitical and regional uncertainties may dampen private spending, in terms of both consumption and investment. Under such a scenario, these factors could weaken the relative position of demand compared to the economy's long-term potential growth. Additionally, uncertainty regarding the stance of fiscal policy remains relevant from the perspective of domestic demand outlook.

Uncertainty remains regarding the number of Armenian labor migrants in the Russian Federation and the actual volume of remittances flowing into Armenia. Although remittances through the banking system have shown some acceleration, they remain at relatively low levels (Figure 3.B.6). This may indicate a weakening of labor migration to Russia amid heightened uncertainty surrounding Russia's medium-term growth prospects and the tightening of migration policies. However, the role of remittances in driving private demand has diminished considerably, given Armenia's strong economic growth and the substantial increase in household incomes.

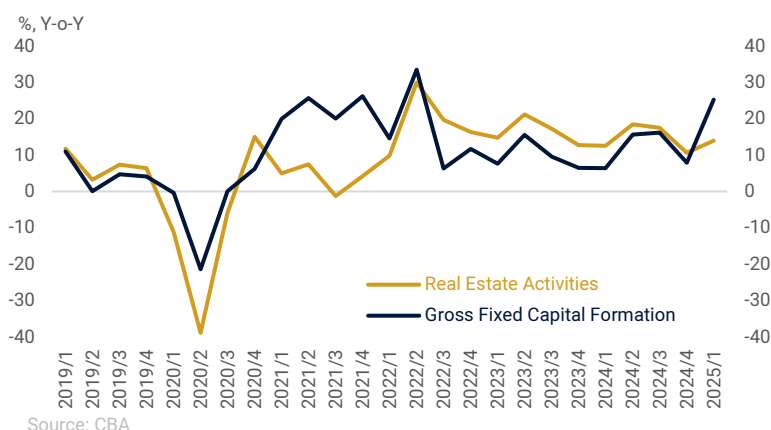
In the context of both accumulated savings and strong demand for lending in the private sector the risks of increased private expenditures continue to persist

Figure 3.B.4: Contribution to Real GDP Growth by Expenditure Approach



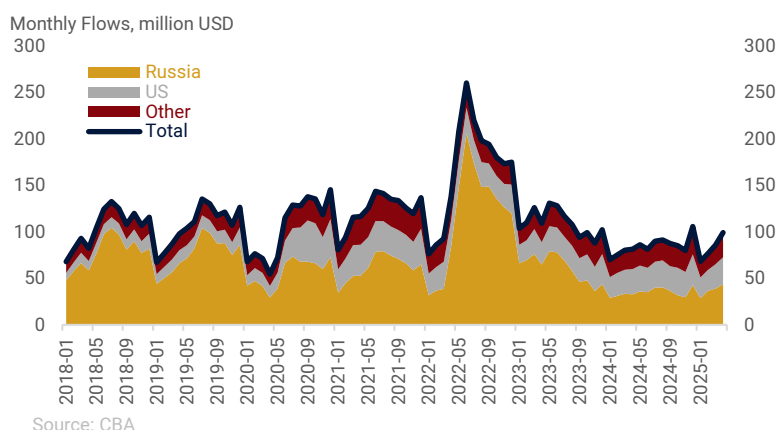
Investments in fixed capital are increasing in line with the sustained high growth in the construction sector

Figure 3.B.5: Investments in Fixed Assets and Growth of the Construction Sector in the Economy



Although remittances have shown some growth in recent months due to the appreciation of the ruble, uncertainties around their future trends remain

Figure 3.B.6: Inflow of Non-Commercial Transfers to Armenia by Source Country



External Trade and Demand

In Q4 2024, the current account continued to deteriorate, approaching its estimated stable level. This was driven by the ongoing adjustment of external demand, alongside a moderate expansion in domestic demand. The adjustment was primarily reflected in a decline in external trade flows serviced by Armenia and the associated income, as well as a continued decrease in tourist arrivals to the country (Figure 3.B.7). It is worth noting that these trends have persisted into the first and second quarters of 2025.

Notably, the Y-o-Y decline in total goods imports in the first quarter of 2025 was primarily driven by a sharp 67% drop in imports of intermediate consumption goods, reflecting a significant contraction in temporary external trade flows. From a forward-looking perspective, risks surrounding these flows remain considerable, given elevated geopolitical uncertainty. Meanwhile, the amount of capital goods imports has undergone a moderate adjustment following the high levels recorded in the previous quarter, also reflecting the broader weakening in trade dynamics. On the other hand, demand for final consumption goods continued to increase, growing by 11% year-on-year, reflecting the expansion of domestic demand.

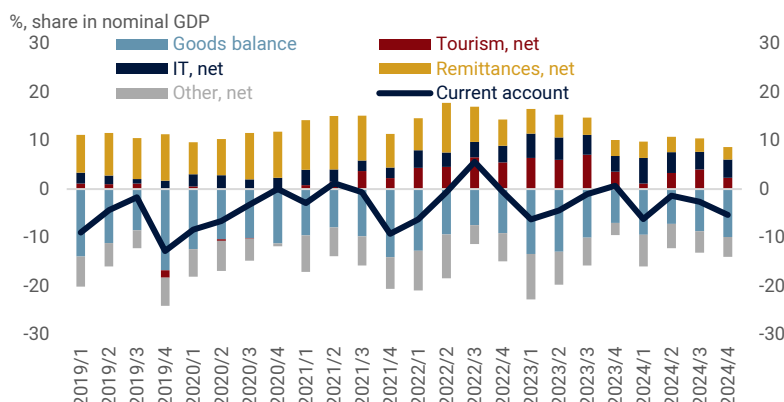
Under these conditions, the real effective exchange rate (REER) depreciated over the first and second quarters of 2025, resulting in a nearly closed REER gap. This was largely driven by the nominal appreciation of the Russian ruble, reflecting improved market sentiment regarding Russia's economic outlook in light of recent geopolitical developments.

The main uncertainties surrounding the real exchange rate relate to the extent and role of the cyclically appreciated REER in the process of stabilizing external imbalances and absorbing excess demand. Since 2022, elevated external demand—driven by geopolitical developments in the region, significant capital, labor, and tourist inflows, as well as the expansion of IT service exports—has contributed to a notable appreciation of the REER (Figure 3.B.9). Meanwhile, relatively low inflation in Armenia compared to partner countries since 2023 has helped slow the pace of REER appreciation.

If the REER appreciation has been largely cyclical, its eventual adjustment would likely be reflected in a corresponding correction of the current account balance, in line with the ongoing adjustment in aggregate demand. At the same time, the current level of exports may reflect new opportunities that contribute to the expansion of long-term export potential and capacity, leading to a fundamental – rather than cyclical – appreciation of the real effective exchange rate.

Due to the gradual adjustment of external demand, the current account has deteriorated, approaching its estimated fundamental level

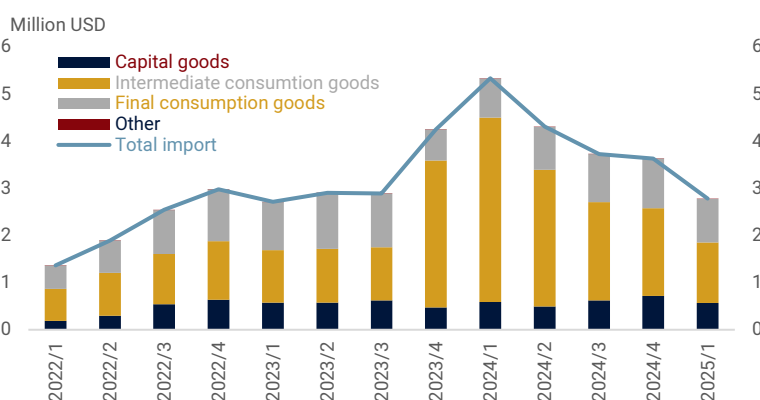
Figure 3.B.7: Current Account



Source: Statistical Committee of the Republic of Armenia; CBA

Demand for consumer and investment goods shows weak improvement

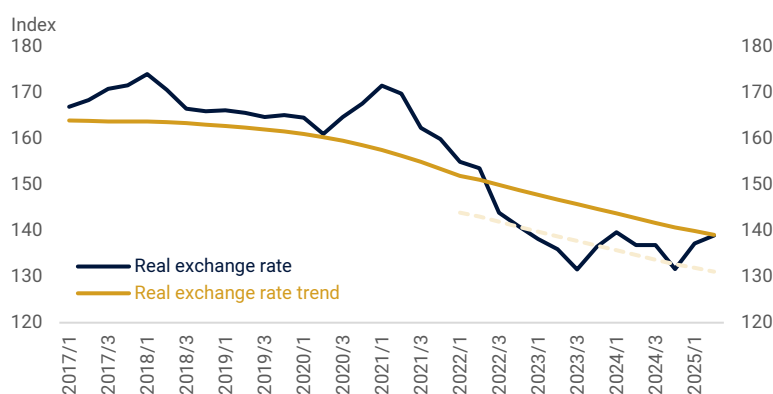
Figure 3.B.8: Value of Imports by Armenia by Broad Economic Category (BEC)



Source: Statistical Committee of the Republic of Armenia; CBA

The slight depreciation of the real exchange rate indicates a reduction in external imbalances; however, uncertainty regarding the cyclical position of the real exchange rate persists

Figure 3.B.9: Real Effective Exchange Rate and Trend for AMD against USD, EUR and RUB (Lower Value means Stronger Dram)



Source: CB

Box 2. The impact of the actual and potential future tightening of US tariff policy on Armenia's economy.

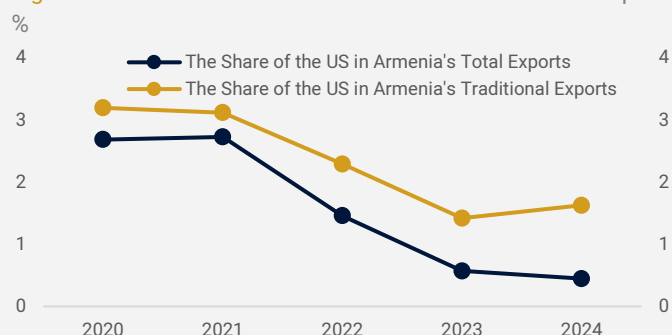
The recent reassessment of US trade policy, including the actual and potentially further increases in tariff rates, represents a key source of global economic uncertainty. This uncertainty pertains not only to the US economy itself (see MP Report, Q1 2025, Box 1), but also to its potential spillovers on both major trading partners and emerging economies. Although the implementation of a significant portion of the newly imposed tariffs was postponed by 90 days shortly after their announcement, progress in concluding trade agreements with key partners remains limited. This increases the likelihood that tariff rates could rise further in the near term. Armenia was not exempt from the new tariffs and is currently subject to a base rate of 10%. However, given the limited depth of Armenia's trade and economic ties with the United States, the direct impact on the Armenian economy is expected to be modest.

In 2024, the total volume of goods exported from Armenia to the US amounted to just around USD 60 million. Consequently, the US accounted for only about 0.4% of Armenia's total goods exports and approximately 1.5% of traditional exports (Box .2.1). This share has nearly halved over the past four years, reflecting a reduced exposure of Armenia's economy to the US markets. Additionally, Armenia's exports to the US are relatively diversified (Box 2.2), which helps mitigate the risks associated with the newly imposed tariffs. For example, exports of alcoholic beverages to the US reached approximately USD 5 million in 2024, representing about 10% of Armenia's exports to the US, but only about 1.5% of total Armenian alcoholic beverage exports. In this context, it is expected that, if necessary, redirecting exports to alternative markets would be relatively low-cost and manageable.

It is also noteworthy that the recent shift in US trade policy may present relative competitive advantages for several small and developing countries, including Armenia, by potentially expanding their export volumes. The newly introduced tariffs—at least in their initial form (Table B.2.1)—offer Armenia relatively more favorable conditions compared to many other US trading partners, as the applied tariff rates are significantly lower for Armenia than for a large number of countries. As a result, Armenia could potentially benefit from these additional tariffs by expanding its market presence in the US for certain products. A notable example is the export of jewelry, where the additional tariff rates imposed on many other exporting countries are nearly three times higher than those applied to Armenia (Table B.2.1).

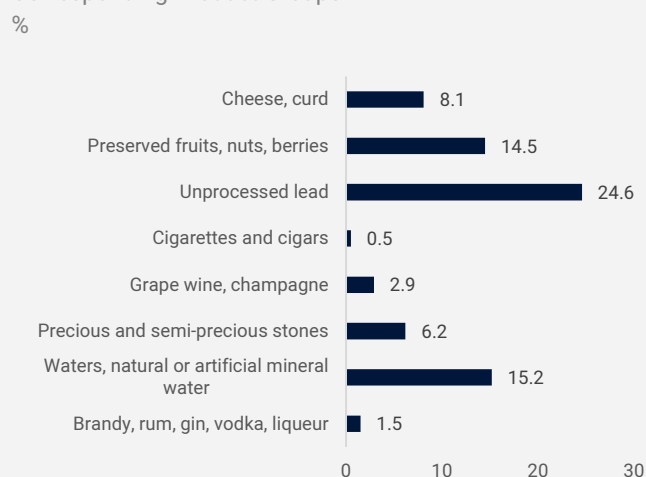
Overall, while the direct impact of the new tariffs on Armenia is likely to remain limited, the primary risk for the Armenian economy lies in the broader uncertainty surrounding the global economy stemming from US trade policy shifts, along with potential indirect effects (see MP Report, Q1 2025, Scenario B)

Figure B.2.1. The Share of the US in Armenia's Product Exports



Source: International Trade Centre, CBA Calculation

Figure B.2.2. The Share of Exports to the US Within the Export of Corresponding Product Groups



Source: International Trade Centre, CBA Calculation

Table B.2.1. US Imports of "Jewelry" Product Group

Export Country	Import, Mln USD	Share, %	Tariff, %, as of April 2, 2025 results
Total Import	14 532.9	100	
India	3 503.6	24.1	27
France	1 866.7	12.8	20
Italy	1 829.8	12.6	20
Thailand	1 258.7	8.7	37
Jordan	937.3	6.4	20
Hong Kong	693.9	4.8	34
Turkey	576.1	4.0	10
China	433.4	3.0	34
Switzerland	399.0	2.7	32
Dominican Republic	390.2	2.7	10
Armenia	8.4	0.06	10

Source: International Trade Centre, White House

Fiscal Policy

Tax revenues of the state budget for January-April 2025 were slightly overperformed, reaching approximately 34.8% of the revised annual target. This reflects a combination of some temporary factors, enhanced tax administration measures, and shifts in the composition of economic growth. Due to a significant increase in completion acts in the construction sector, the potential for collecting Value Added Tax (VAT) revenues from this sector improved. It is worth highlighting that tax collections were particularly strong in April, reaching around 114% of the monthly target and reflecting the high profits generated in the economy during 2024, while tax revenues fell slightly short in May.

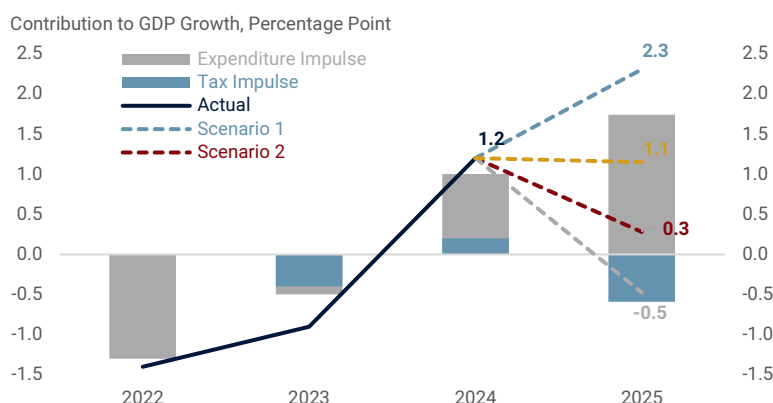
However, given the significantly lower than expected tax revenue-to-GDP ratio in the previous year, under these conditions the high target set for the current year, and the one-off nature of some factors driving up tax revenues in the first quarter, there are certain risks of revenue underperformance in the current year. At the same time, pressures on the expenditure side persist. In particular, social spending needs may lead to the over-execution of current expenditures. As a result, the overall fiscal stance is expected to be more expansionary, exerting upward pressure on aggregate demand. These dynamics may have implications for fiscal sustainability, potentially affecting the public debt trajectory and the country's risk premium (Figure 3.B.11, Scenario 1).

On the other hand, in January-April 2025, state budget expenditures increased by 11.1% compared to the same period of the previous year, and the execution of expenditures was broadly in line with historical trends, amounting to 27% of the adjusted annual program. However, given the significant shortfall in capital expenditures in the previous year and the substantially higher amount planned for the current year (about 7.0% of GDP), as well as the economy's limited capacity to absorb such a large volume of capital investment, there are risks of underperformance (Figure 3.B.11, scenario 2). In addition, the structure and direction of capital expenditures for the current year have also changed somewhat, introducing further uncertainty regarding the magnitude of their impact on demand (Figure 3.B.11, scenario 3).

In the medium term, risks to debt stabilization and the financing of the state budget deficit persist. These are partly associated with stricter tax administration and tighter tax legislation policies, which may exert an additional contractionary effect on aggregate demand.

A high degree of uncertainty remains regarding the magnitude of the fiscal policy impact on aggregate demand

Figure 3.B.10: Fiscal Impulse and Scenarios for 2025



Source: Ministry of Finance; CBA calculations

Notes:

Scenario 1 – Underperformance of tax revenues, accompanied by a certain over-execution of current expenditures due to the necessity of increased social spending, along with the full utilization of the reserve fund

Scenario 2 – Full implementation of the tax revenue plan; however, underperformance of capital expenditures in line with trends of previous years, due to limitations in the capacity to implement large-scale capital spending.

Scenario 3 – Scenario 2, additionally taking into account a potentially weaker impact on aggregate demand stemming from structural characteristics of capital expenditures.

C. Labor Market and Inflation

Labor Supply and Demand

The unemployment rate (according to the Statistical Committee of Armenia's labor force survey) declined in Q4 2024 compared to the previous quarter, reaching 12.9%, representing a 0.2 percentage point decrease year-on-year (Figure 3.C.1). On the other hand, since the beginning of 2024, Armenia has seen an increase in the working-age population; however, the majority of these individuals were classified as economically inactive. At the same time, labor supply declined, partly due to a reduction in the number of employed individuals, which also contributed to an increase in population outside the labor force. There was also a moderate outflow of foreign labor during 2024, which may further indicate a slight weakening in labor market conditions and a shift toward a more balanced environment.

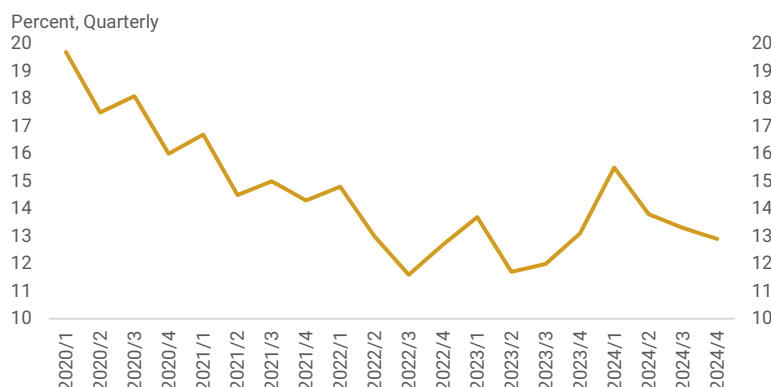
Meanwhile, the number of registered employees (based on State Revenue Committee data) continued to grow steadily in Q4 2024 (Figure 3.C.2), sending signals that contrast with survey-based data on labor market trends and adding to the overall uncertainty about actual labor market conditions. Nevertheless, the increase in registered employment may also reflect structural changes in the economy, notably the transition of labor from the informal to the formal sector.

The outlook for the labor market remains subject to significant uncertainty. This stems both from the scale, speed, and continuity of the integration of forcibly displaced persons from Artsakh into Armenia's labor market, and from the dynamics of labor migration to Russia. In recent years, the wage differential between Armenia and Russia has narrowed, reducing incentives for seasonal labor migration to Russia. Given the ongoing risks surrounding Russia's economic outlook, a potential decline in labor migration to Russia could have a positive impact on Armenia's labor supply and contribute to a moderate increase in potential GDP.

At the same time, the recent appreciation of the ruble, along with emerging positive signals regarding a potential resolution of the Russia-Ukraine conflict, could instead support a rebound in seasonal migration. Another key factor contributing to the potential decline in labor migration to Russia is the tightening of migration regulations by the Russian authorities. In this context, surveys conducted by the Central Bank among seasonal workers highlight the importance of both economic and political factors, as well as the considerable uncertainty that persists regarding future outbound labor migration.

Despite the uncertainty surrounding employment growth estimates, several key indicators point to a significant improvement in labor market equilibrium.

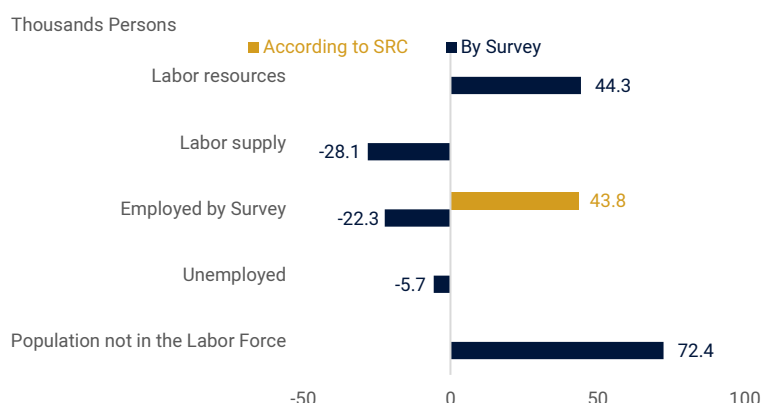
Figure 3.C.1: Unemployment Rate



Source: Statistical Committee of the Republic of Armenia

The substantial increase in labor resources raises uncertainties about the pace of their integration into the labor market

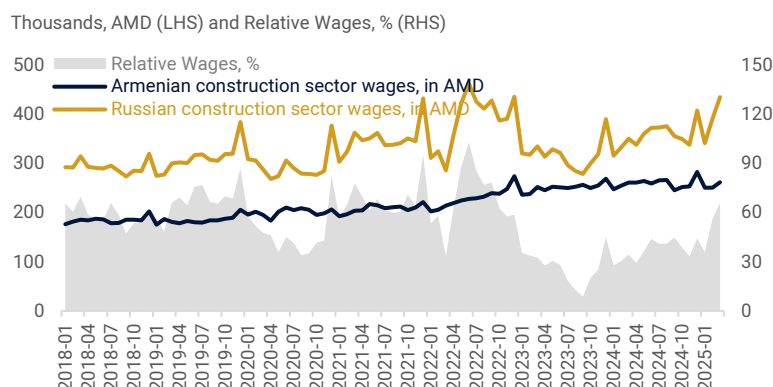
Figure 3.C.2: The Change in RA Labor Resources, 2024Q3/2023Q3



Source: Statistical Committee of the Republic of Armenia; CBA

Sustained narrowing of gap between construction wages in Armenia and Russia could impact flows of seasonal migrant workers from Armenia to Russia

Figure 3.C.3: Construction Wages in Russia and Armenia



Source: Federal State Statistics Service of RF; Statistical Committee of the Republic of Armenia; CBA

Wage Growth

Following the high growth recorded in recent years, nominal private sector wage growth continued to decelerate in Q1 2025, reaching 5.4% Y-o-Y (Figure 3.C.4). In recent quarters, increases in productivity, labor supply, and employment—combined with a moderate decline in labor demand since the beginning of the year—have contributed to a significant easing of inflationary pressures originating from the labor market. Due to the concentration of economic growth in specific sectors, labor market signals remain notably uneven. In particular, average wage growth in the economy has been largely driven by increases in the financial and insurance sectors, and more recently, in the manufacturing industry. In January–April of the current year, nominal wage growth stood at approximately 5.2% Y-o-Y, with about 2.0 percentage points of this growth attributed to those two sectors. Meanwhile, trends of subdued wage growth continue to persist in other service sectors. In this context, the concentration of wage growth in certain branches of the economy, along with the slowdown in other sectors, may be interpreted as a clear signal of reduced—or neutralized—labor market pressures. Looking ahead, a potential increase in labor supply could further ease labor market conditions and moderate market-driven inflationary pressures in the medium to long term.

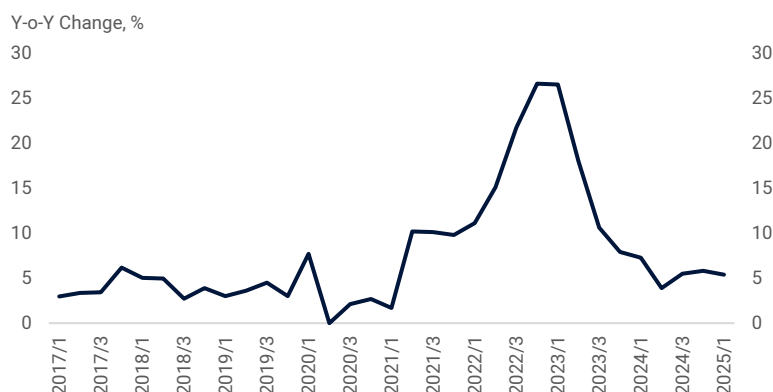
Inflation

In the second quarter of 2025, inflation accelerated, reaching approximately 0.3% M-o-M in May and 4.3% Y-o-Y. This increase was primarily driven by significantly higher price growth in the vegetable product group compared to historical seasonal trends. This, in turn, was largely due to a substantial expansion in external demand for a limited number of products, particularly potatoes. Notably, the monthly price growth for potatoes in April and May 2025 were approximately 32.0% and 23.0%, respectively, contributing around 0.3 percentage points to the 12-month inflation rate in May.

Higher prices of imported food products, as well as rising costs in non-regulated services, have also contributed to the increase in inflation. However, in line with global downward price trends observed in April, a decrease in the prices of certain imported food products has been recorded. At the same time, inflation in non-regulated services—particularly air transport—has increased, driven by higher demand for air transport services and the appreciation of the euro exchange rate.

Increases in labor supply driven by labor resource expansion could contribute to weakening inflationary pressures, though signals from the labor market are somewhat incongruous

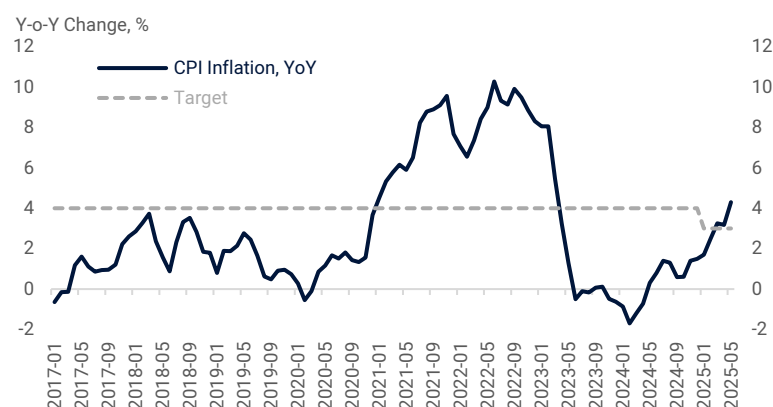
Figure 3.C.4: Nominal Private Wage Growth, Armenia



Source: Statistical Committee of the Republic of Armenia

Twelve-month inflation has accelerated in recent months, reaching 4.3% in May 2025.

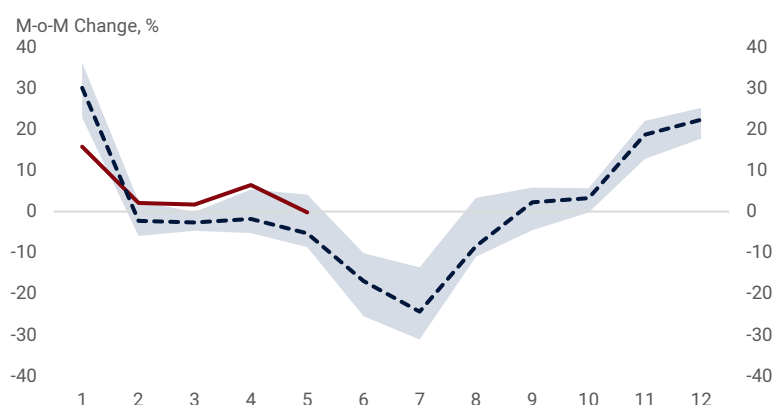
Figure 3.C.5: CPI Inflation



Source: Statistical Committee of the Republic of Armenia, CBA

Remaining significantly above historical seasonal levels, the vegetable product group—particularly certain individual items—continues to be a major driver of overall inflation.

Figure 3.C.6: Inflation in the Vegetable product group



Source: Statistical Committee of the Republic of Armenia, CBA

Inflation (cont.)

Nonetheless, signs of a stable inflation recovery in the economy remain weak, largely due to deflationary effects transmitted from the global economy in certain (non-food) product categories, some softening in labor market conditions, and a significant reduction in aggregate supply–demand imbalances. The downward trend in services inflation continues, primarily driven by the ongoing adjustment in external demand. However, the persistently high level of domestic demand may generate some inflationary pressures. In this context, the remaining uncertainty regarding the relative position of aggregate supply and demand is one of the main sources of risk to the inflation outlook.

Core inflation, which excludes seasonal food and regulated services, stood at 2.4% Y-o-Y in April 2025, remaining below the target level and largely reflecting sustained declines in prices of imported non-food and domestic non-seasonal food products. For example, compared to the same period last year, prices for dairy products, sugar, fuel, clothing, and several household goods have decreased.

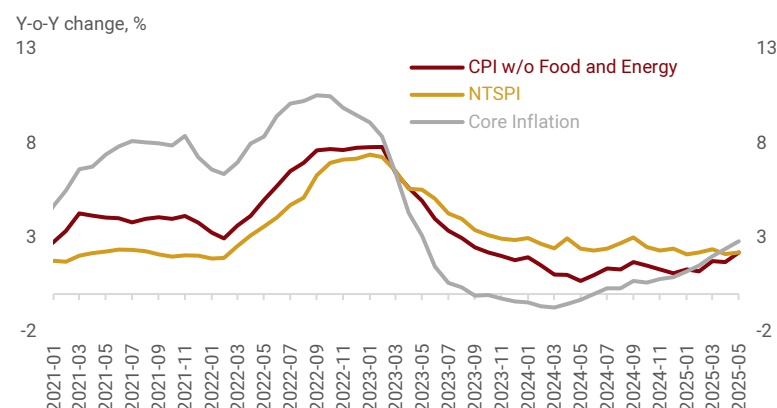
Meanwhile, Non-Traded Sticky Price Inflation (NTSPI) has somewhat stabilized in recent months, registering 2.1% Y-o-Y in April, indicating a neutral impact from aggregate demand. The downward trend in inflation for certain goods and services continues, driven by adjustments in external demand (Figure 3.C.7). In light of these developments, and according to the expectations of financial market participants, inflation in Armenia will converge toward the 3% target in the coming quarters, stabilize around that level in the medium term (Table 3.C.1).

Inflation Expectations

According to the results of the household inflation expectations survey conducted by the Central Bank of Armenia, in the second quarter of 2025, uncertainties have increased somewhat, alongside a decline in elevated inflation expectations. The latter, despite the recent acceleration in overall inflation driven by a limited number of seasonal items, reflects a gradual return of inflation expectations toward the target level. Accordingly, the share of respondents expecting slower price growth has also increased. Accordingly, the share of respondents expecting slower price growth has also increased.

NTSPI price growth continues to stabilize

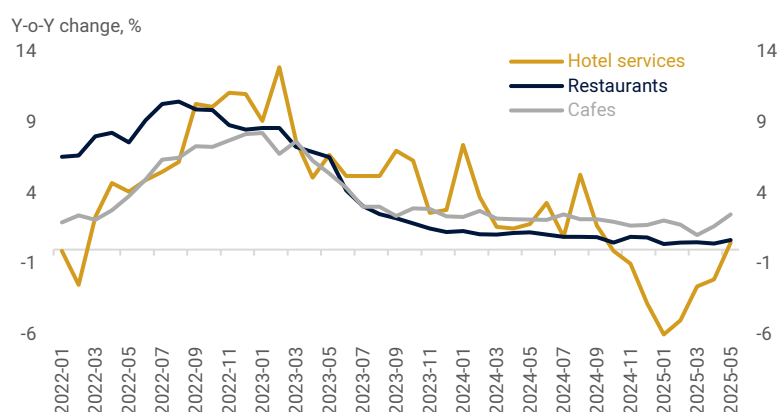
Figure 3.C.7: Underlying Inflation Measures



Source: Statistical Committee of the Republic of Armenia; CBA

Prices of certain services continue to adjust in response to shifts in external demand

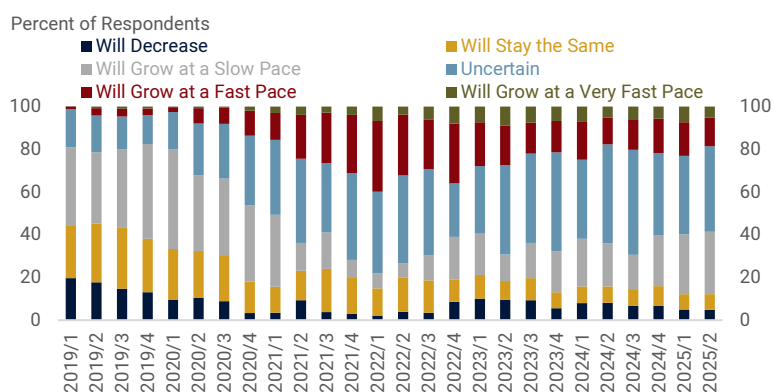
Figure 3.C.7: Hotel Sectors Inflation



Source: Statistical Committee of the Republic of Armenia; CBA

A larger share of respondents expect lower inflation, while high uncertainty persists

Figure 3.C.8: Survey on Households' Inflation Expectations, Armenia



Source: CBA

D. Financial Markets

Market Expectations of Policy Rates

According to the latest survey conducted by the CBA among financial market participants, as of June 12, 2025, market participants on average expect the CBA to continue gradually decreasing the policy rate over the course of the next eight decisions in line with the expected macroeconomic outlook. The key risks and issues that respondents emphasized as possible uncertainties related to these projections have served as an important input into the taxonomy of scenarios presented in Section E. Overall, the slight shift in the short- and medium-term segments of the yield curve following the May 2025 monetary policy decision may reflect a certain normal downward adjustment in market participants' expectations regarding the policy rate path, as well as a possible reassessment of perceptions related to macroeconomic risks. This may reflect a reassessment of risks related to Armenia's debt sustainability, US long-term interest rates, geopolitical uncertainties, and other factors.

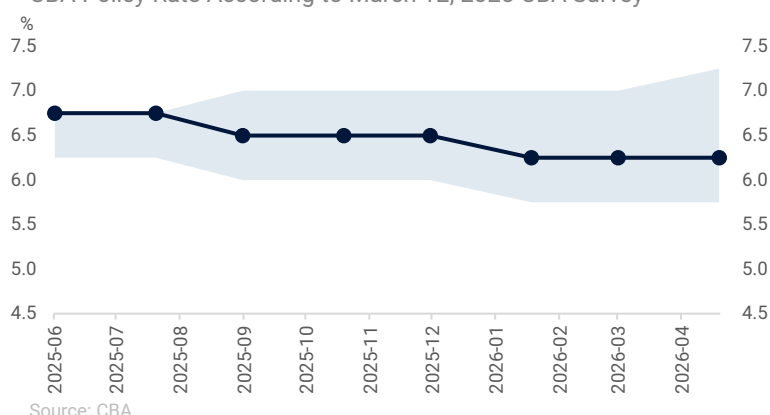
Neutral Interest Rate

Uncertainty remains regarding estimates of the neutral interest rate. However, the central bank's recent policy rate cuts suggest that the restrictive policy stance has significantly eased, bringing the monetary stance closer to neutral. Uncertainties around this remain in several areas. In the context of a slight easing of regional geopolitical tensions, the recent decrease in Armenia's country risk premium (Figure 3.D.6) may indicate a relatively lower neutral interest rate for Armenia. At the same time, the persistence of high global interest rates—driven by both domestic fundamentals in individual countries and heightened geopolitical uncertainty—may signal a higher fundamental equilibrium interest rates. On the other hand, the increase in Armenia's export capacity in recent years and the resulting trend appreciation of the real effective exchange rate point to a lower level of fundamental interest rates in the domestic economy, as exchange rate expectations are also factored into investment decisions.

Uncertainty regarding inflation expectations remains elevated; however, household survey results and the prolonged maintenance of a low inflation environment may suggest a decline in inflation expectations. Following the reduction in the inflation target, nominal neutral interest rates are expected to decline in the long run, in line with the formation of inflation expectations consistent with the new target.

Most market participants expect gradual declines in policy rate over the next year

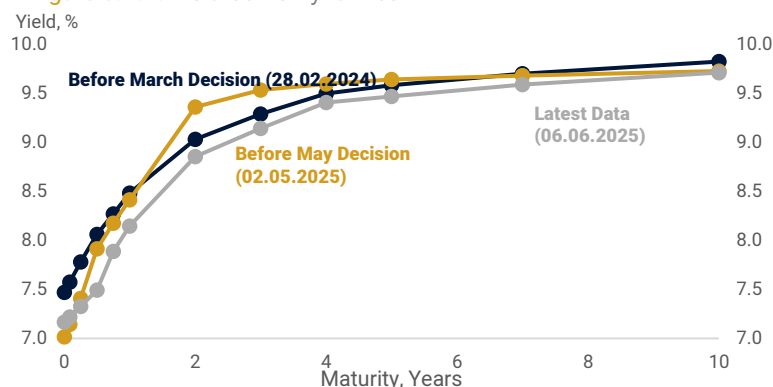
Figure 3.D.1: Financial Market Participants' Expectations of the CBA Policy Rate According to March 12, 2025 CBA Survey



Source: CBA

The Central Bank's latest monetary policy decision and communication had no significant impact on market expectations regarding the policy path or the yield curve.

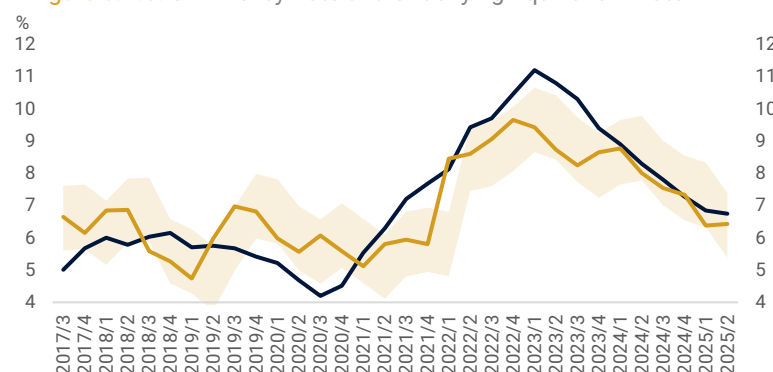
Figure 3.D.2: Yield Curve Dynamics



Source: CBA

How tight are monetary conditions?

Figure 3.D.3: CBA Policy Rate and Underlying Equilibrium Rate



Source: CBA

Bank Lending Conditions

Surveys conducted by the Central Bank of Armenia indicate that the lending conditions index reported by commercial banks remained in the net easing range across all types of loans, while interest rates stayed at stable levels, partly due to the continued strong demand for credit. Notably, that demand for mortgage loans declined significantly, in line with expectations.

In the first quarter of 2025, both funds attracted and loans extended by commercial banks continued to grow, reflecting sustained high activity in certain sectors of the economy. Consumer loans extended to households continued to increase at a stable pace, while the growth rate of mortgage lending continued to decline, reflecting the already weakening demand for real estate due to the gradual phase-out of the income tax refund program. The actual and expected easing of lending standards may support credit growth and heighten inflationary pressures.

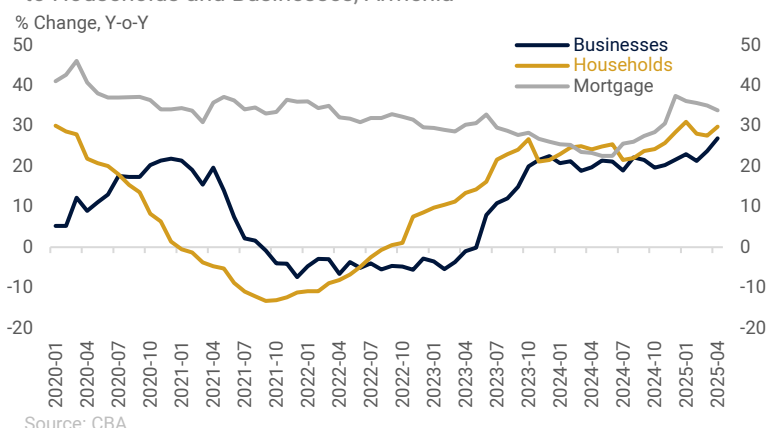
Nominal Exchange Rate

In the second quarter of 2025, the nominal appreciation of the Armenian dram against the US dollar (Figure 3.B.7) was driven by a combination of factors, including a moderate strengthening of capital inflows, a sharp nominal appreciation of the Russian ruble, and a depreciation of the US dollar against the currencies of both advanced and emerging market economies. Thus, between January and May 2025, the U.S. dollar index depreciated by about 6% against currencies of advanced economies and by 4% against those of emerging markets. On the other hand, several Armenia-specific factors also influenced the dram's nominal exchange rate, including a significant slowdown in external trade and tourism flows, a moderate expansion of domestic demand, and the sharp appreciation of the ruble along with increased ruble-to-dollar flows into Armenia.

Armenia's sovereign risk premium has declined slightly in recent periods, in line with trends observed in other emerging markets (Figure 3.D.6), and continues to remain below the estimated long-term stable level. This reflects a reassessment of risks stemming from both Armenia-specific factors and broader regional geopolitical uncertainties. Specifically, the overall risk perception of emerging markets has eased somewhat, possibly driven by improving expectations related to a potential resolution of the Russia-Ukraine conflict. On the other hand, geopolitical conditions in the Middle East have significantly deteriorated, while heightened uncertainty surrounding US economic policies has increased concerns about potential shifts in capital flows between emerging and advanced economies. These factors pose additional risks of increased volatility and upward pressure on Armenia's sovereign risk premium. These factors introduce additional volatility and pose upside risks to Armenia's sovereign risk premium.

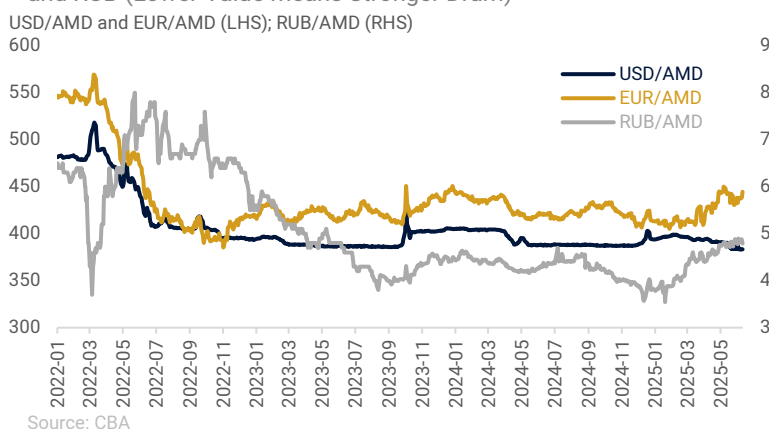
Demand for loans remains at a high level

Figure 3.D.4: Change in Total Loans Provided by Commercial Banks to Households and Businesses, Armenia



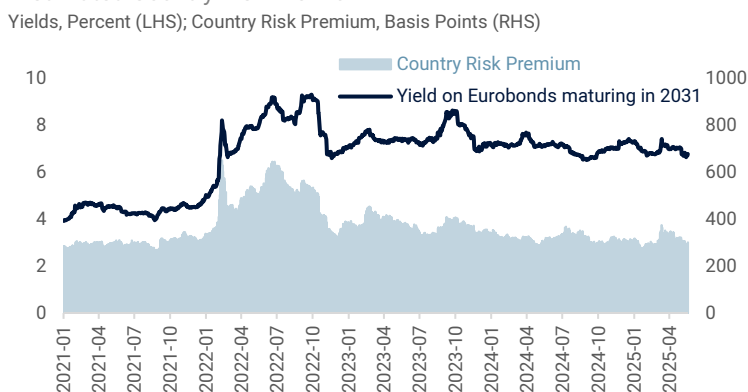
Amid tariff impositions and worsening U.S. economic growth prospects, the U.S. dollar has significantly depreciated against its trading partners.

Figure 3.D.5: Nominal Exchange Rate for AMD against USD, EUR and RUB (Lower Value means Stronger Dram)



Uncertainty surrounding geopolitical tensions poses risks for financial market volatility, including through the potential reassessment of the country risk premium.

Figure 3.D.6: Yield on Armenian Eurobonds Maturing in 2031 and Estimated Country Risk Premium



Source: Ministry of Finance; CBA

Note: Armenia's country risk premium is estimated as the difference between the yield on Armenian Eurobonds maturing in 2031 and the risk-free benchmark interest rate with the same maturity.

E. Taxonomy of Scenarios

Purpose and Structure of the Taxonomy

The Taxonomy of Scenarios provides a comprehensive, structured assessment of the different types of risks, shocks, and sources of uncertainty that can affect the Armenian economy. It describes their potential impacts on inflation and economic environment in Armenia, as well as loosely illustrates implied monetary policy reactions by the CBA. As a structured summary of the various policy-relevant scenarios considered by a number of key stakeholders—including the Board, **Staff**, financial markets, and public—the Taxonomy presents the key issues that can impact policy decisions over a medium-term horizon in the context of a least regrets decision-making framework. The evolving Taxonomy of Scenarios is published in each quarterly MPR.

Table E.1: Taxonomy Structure

Case A-Type Considerations	Case B-Type Considerations
Expansionary Demand: Shocks result in aggregate demand rising more than aggregate supply, increasing underlying inflation. This requires an increase in the policy rate path that is sufficiently aggressive to anchor inflation and inflation expectations. Complications: credibility is fragile Output + Inflation +	Contractionary Demand: Shocks result in aggregate demand rising less than aggregate supply, decreasing underlying inflation. This requires a decrease in the policy rate path that is sufficiently aggressive to anchor inflation and inflation expectations. Complications: ELB, stuck in low inflation trap Output - Inflation -
Contractionary Supply: Nasty stagflationary shocks that require an aggressive upward adjustment in the expected path of the policy rate, resulting in a significant short-run tradeoff between inflation and other real objectives (e.g., unemployment) Complications: Hard to hit the wounded economy Output - Inflation +	Expansionary Supply: Favorable supply shock(s) reduce inflation toward the target and results in higher growth as well as lower interest rates; is a policymaker's dream. Complications: can be risky if this environment is extrapolated into the future Output + Inflation -

The taxonomy is classified into those that can have Case A-type (expansionary demand, contractionary supply) and Case B-type (contractionary demand, expansionary supply) considerations. While various classifications of shocks are possible, the taxonomy makes a distinction between supply and demand side forces, in order to provide policymakers a structured framework for analyzing the source of inflationary pressures and potential risks to the economy. By understanding the nature and magnitude of different types of shocks, policymakers can then design appropriate monetary policy responses to mitigate the negative impact of adverse shocks and leverage the benefits of positive shocks.

Taxonomy of Scenarios: Q2 2025

Table E.2: Taxonomy of Scenarios: Q2 2025

Case A-Type Considerations Expansionary Demand	Case B-Type Considerations Contractionary Demand
• In the United States, the reconfiguration of fiscal rules has heightened uncertainty regarding the magnitude of fiscal stimulus and, more critically, the trajectory of long-term public debt accumulation. This may exert upward pressure on the U.S. neutral interest rate, with potential spillover effects on the neutral rates of developing economies, including Armenia. • Uncertainty regarding the fundamental level of the country risk premium—and the risks of its potential escalation—stem, on the one hand, from assessments of geopolitical tensions surrounding the Republic of Armenia, and, on the other hand, from the possibility of a substantial deviation from expected fiscal outcomes. This includes a notable increase in the debt burden driven by potential shortfalls in tax revenue collection and the need to finance social and other non-growth-enhancing expenditures. • The robust economic growth observed in the domestic economy may signal elevated productivity, higher marginal returns on capital, and an upward shift in the neutral interest rate. Under such conditions, risks may emerge from sustained demand acceleration and mounting inflationary pressures. • Persistent uncertainties around domestic demand conditions, particularly regarding the emergence and potential persistence of excess demand. • Economic growth exceeding its long-term potential, primarily fueled by domestic demand factors, underscores the risks associated with the persistence of excess demand conditions in the Republic of Armenia. • Sustained growth in consumption and credit to the economy—driven by accumulated private sector savings and rising incomes linked to favorable export performance—may further amplify aggregate demand in the near term. • The adoption of a more expansionary fiscal stance than previously anticipated present risks of further intensifying domestic demand pressures. • Ongoing negotiations to resolve the Russian-Ukrainian conflict, coupled with the continued enforcement of sanctions against Russia, may further bolster capital inflows into the Armenian economy, thereby amplifying domestic demand and reinforcing inflationary pressures. <i>(Continued on the following page)</i>	• Subdued domestic demand—arising from structural challenges in the global economy, particularly within the Eurozone and China—may prove persistent, contributing to a prolonged period of low inflation in international commodity and raw material markets. • As Western sanctions gradually become more effective, combined with tightening of economic policy stances, domestic demand in Russia may weaken substantially. Simultaneously, the expansion of alternative trade routes for imports and exports may reduce Armenia's integration into Russia's foreign trade flows, thereby exacerbating the anticipated decline in revenues stemming from weakened external demand. • Prolonged elevated uncertainty surrounding U.S. economic policy could evolve into a broader crisis of confidence, sharply dampening consumer and investment activity both within the United States and across the global economy. • Expectations surrounding U.S. economic activity have moderated, while uncertainty has intensified. Under these conditions, a potential sharp correction in the prices of still-overvalued assets could generate deflationary pressures both globally and within the Armenian economy. • In the context of a gradual, natural adjustment in construction and real estate prices, related sectors of the economy may experience slowing growth, softening demand, and emerging deflationary effects. • In response to the strong external demand observed in recent years, the private sector in the Armenian economy—particularly in certain industries—accumulated substantial credit liabilities amid expectations of sustained high future income. As external demand undergoes a natural adjustment, these liabilities may become an additional constraining factor, potentially leading to a disproportionate tightening of income and expenditure dynamics, especially within the services sector. • The increase in specific tax rates and the tightening of tax administration – aimed at steadily improving the tax-to-GDP ratio – may exert additional dampening effects on investment activity, potentially contributing to higher unemployment and subdued demand. • In the event of a resolution to the Russian-Ukrainian conflict and the full or partial removal of sanctions, a substantial outflow of capital and labor from the Republic of Armenia may occur, posing risks of a marked weakening in aggregate demand and, more notably, a moderation of inflationary pressures. <i>(Continued on the following page)</i>

Case A-Type Considerations Contractionary Supply	Case B-Type Considerations Expansionary Supply
• Amid the tightening of trade policies among major economies and the broader trend of deglobalization, disruptions in global supply chains may lead to higher production costs and a broadening of inflationary pressures in the global economy over the short to medium term. • The escalation of geopolitical tensions in the Middle East has led to an increase in Armenia's risk premium and disruptions in supply chains, which primarily pose inflationary risks.	• Continuous growth of labor supply in the Armenian economy, resulting from uncertainties about medium-term developments in the Russian economy and, notably, the persistent decline in seasonal migration from Armenia to the Russian Federation amid tightening migration policies in Russia. • In the event of a significant tightening of U.S. foreign trade policy, an excess supply of goods and services (such as freight transportation) may emerge in the medium term within the global economy among several leading economies, creating risks of associated deflationary pressures for smaller economies.

Box 3. Market Reference Scenario

Under the CBA Monetary Policy Framework (FPAS Mark II), the CBA does not prepare baseline projections. Instead, we rely on information from financial market participants (including commercial banks, fund managers, institutional investors, and so on)—compiled through quarterly surveys—to develop a macro-consistent “market reference scenario (MRS).” This MRS, in many ways, serves a similar purpose as a traditional baseline projection, in the sense that it represents the market’s rough estimation of the “most likely future,” given the information available to market participants at a particular point in time. The MRS can serve as a substitute for the baseline for those external stakeholders (e.g. IFIs, fiscal authorities, and others) who rely on exogenously-provided projections when making their own planning decisions. Through the use of the MRS, the CBA provides the opportunity to markets to not only understand third-party forecasts of the “most likely” future, but also pay attention to those types of risks, uncertainties, and scenarios that can pose risks from the perspective of monetary policy and price stability (which are presented in the preceding Taxonomy). At the same time, this provides an opportunity to effectively communicate the logic and rationale behind CBA’s policy decisions under the prudent risk management approach.

Note: The CBA Macro Survey is conducted on a quarterly basis by the CBA. For the purposes of informing the Market Reference Scenario, participants are each asked to provide a macro-consistent scenario, including a qualitative description of the narrative underlying the scenario and associated Case A- and B-type risks, as well as accompanying quantitative 12-quarter-ahead projections for CPI inflation, real GDP growth, the CBA policy rate, and the nominal AMD/USD exchange rate. The Q2 2025 survey was carried out in January-February 2025 and featured responses from 18 commercial banks, 35 credit organizations, 8 insurance companies, 19 investment companies, and 1 fund manager.

Figure B.3.1: CPI Inflation

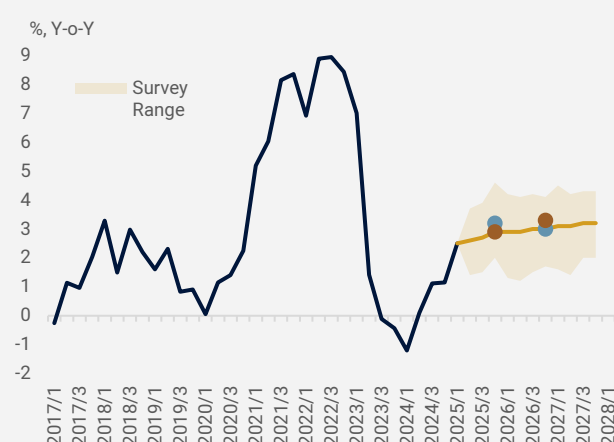


Figure B.3.3: Real GDP Growth Rate

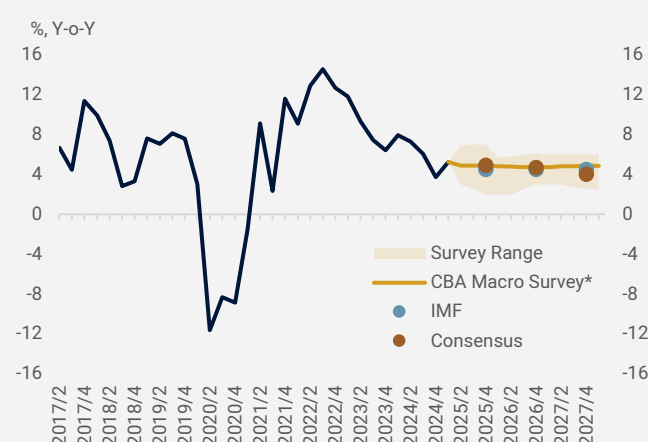


Figure B.3.2: CBA Policy Rate

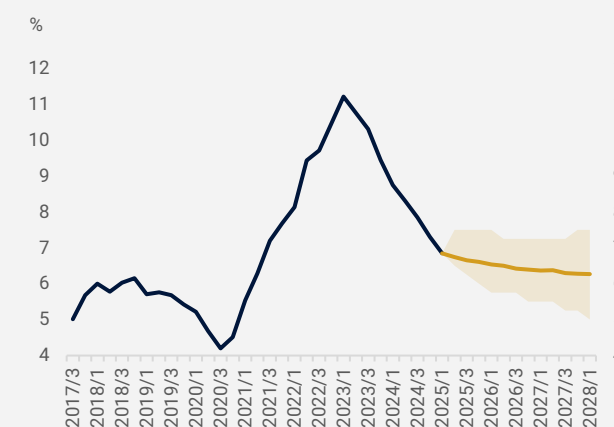
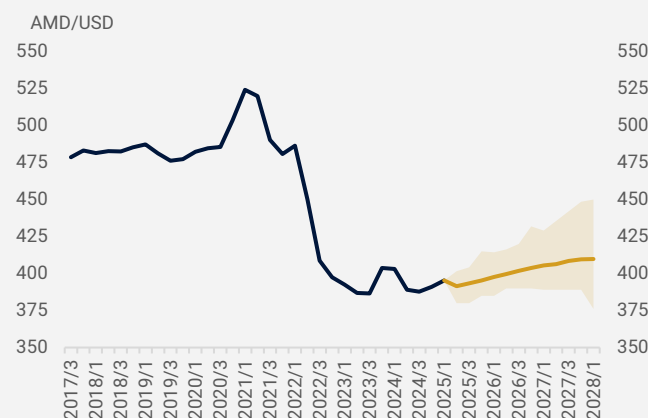


Figure B.3.4: Nominal AMD/USD Exchange Rate



* Note: CBA Macro Survey shown as average of survey responses (line) and range between min and max responses (shaded area).

Table B.4.1: Summary of Third-Party Projections

	Inflation	Refinancing Rate	Growth Rate	Nominal Exchange Rate (AMD/USD)
As of the end year, %				
2024 (Actual)	1.1	7.3	3.7	390.9
2025	2.9	6.6	4.9	395.3
2026	3.0	6.4	4.8	403.8
2027	3.2	6.3	4.9	409.5
Annual average, %				
2024 (Actual)	0.3	8.0	6.3	392.7
2025	2.4	6.3	4.9	393.9
2026	3.0	6.5	4.8	400.7
2027	3.1	6.3	4.8	407.5

F. Monetary Policy Outlook

Case A: Over the medium term, the expansion of the US fiscal stimulus position—with its potential effects on the neutral interest rate levels in the US and, consequently, in emerging economies, including Armenia.

Interest Rates above Market Expectations

In recent years—especially after the pandemic—the U.S. government has followed a strongly expansionary fiscal policy. Despite the exceptionally strong nominal growth of the economy, this policy stance has driven the federal debt to approximately 100% of GDP. Furthermore, current fiscal frameworks anticipate a sustained and steady increase in the debt burden, according to the U.S. Congressional Budget Office. However, the elevated level of current expenditures heightens the risk of failing to meet even the existing fiscal deficit targets (Figure 3.F.1). Consequently, if current trends continue, the budget deficit may be higher than planned.

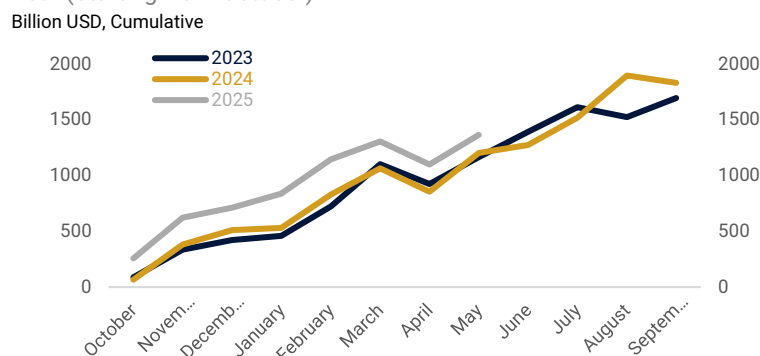
At the same time, risks are rising of a sharp worsening in the U.S. fiscal position due to a potential new fiscal package by the administration and related initiatives, which include tax incentives without matching spending cut. According to the U.S. Congressional Budget Office (CBO), the proposed changes could increase the federal budget deficit by about USD 2.4 trillion over the long term, though significant uncertainty remains regarding the exact size of this expansion (Table 3.F.1).

Historically, anticipated increases in public debt resulting from the erosion of fiscal discipline have been accompanied by a rise in long-term interest rates—and consequently, a higher debt servicing burden (Figure 3.F.3). Several empirical studies¹ also confirm that fiscal expansion significantly raises long-term real interest. Moreover, estimates of the magnitude of this effect are broadly consistent across studies: a 1 percentage point increase in the debt-to-GDP ratio is associated with a 3 to 5 basis point rise in long-term real interest rates.

Taking into account the factors above—as well as the likelihood that the impact may intensify at higher public debt levels due to rising debt sustainability risks and depending on the fiscal expansion's composition, especially if driven by non-productive spending—this scenario assumes that an additional increase in U.S. public debt by around 15 percentage points could raise the U.S. neutral interest rate by about 90 basis points. This may lead to an upward adjustment of Armenia's neutral interest rate, thereby requiring a higher trajectory for the policy interest rates.

Even after accounting for revenues from customs duties, the deficit in 2025 may exceed the planned level.

Figure 3.F.1: US Budget Deficit Since the Beginning of Each Fiscal Year (Starting from October)



Source: Congressional Budget Office (CBO)

The proposed fiscal changes could substantially intensify debt sustainability challenges in the United States.

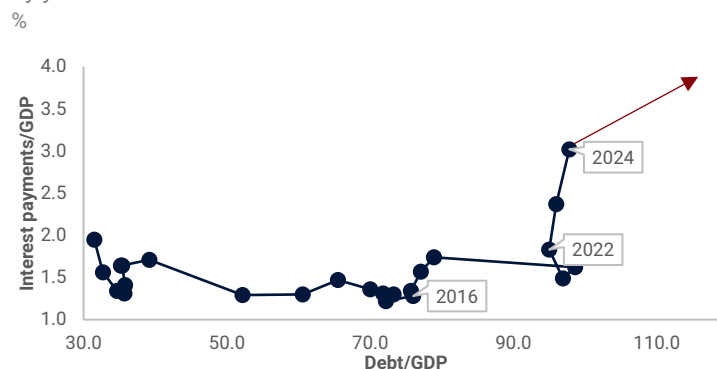
Table 3.F.1. The possible impact of U.S. new fiscal initiatives on the government debt

Trln \$	Revenues	Spending	Deficit
CBO	-3.75	+1.33	2.4
Tax Foundation	-4	+1.4	2.6
Moody's			4.0
CFRB			3.3
Public debt/GDP			
CBO (January)	97.8	109.0	118.0
CBO (May)	97.8	112.1	123.8
JP Morgan	97.8	116.0	132.0
Tax foundation	97.8	123.4	140.0
Moody's	97.8	117.6	134.0

Source: CBO, J.P. Morgan, Tax Foundation, Moody's

A significant increase in debt and the deterioration of fiscal discipline impact the level of interest rates.

Figure 3.F.2. US. government debt burden and its servicing costs by years



Source: CBO, CBA calculations

¹ Laubach, "New Evidence on the Interest Rate Effects of Budget Deficits and Debt" (2009), Engen and Hubbard, "Federal Government Debt and

Interest Rates" (2004), Faruqi, axton, and Igitian, "Government Debt and the Great Re-normalization?" (2023).

Case B: Under the conditions of a continued, gradual adjustment in external demand, the increasing debt burden accumulated in certain sectors of Armenia's economy poses risks of disproportionate spending restraint.

Interest Rates below Market Expectations

In the context of elevated external demand observed in recent years, the Armenian economy—particularly certain sectors—has accumulated substantial credit liabilities driven by actual and anticipated high income levels (Figure 3.F.4). The debt burden is higher in certain sectors of the economy, particularly those sensitive to adjustments in external demand. Concurrently, due to global economic developments, heightened lending demand within Armenia, and other factors, interest rates on loans have remained elevated relative to the pre-pandemic period. Consequently, although the business loans-to-GDP ratio remains close to the 2019 peak, the debt servicing burden has increased by approximately 0.5 percentage points, reaching around 2.7% of GDP (Figure 3.F.4).

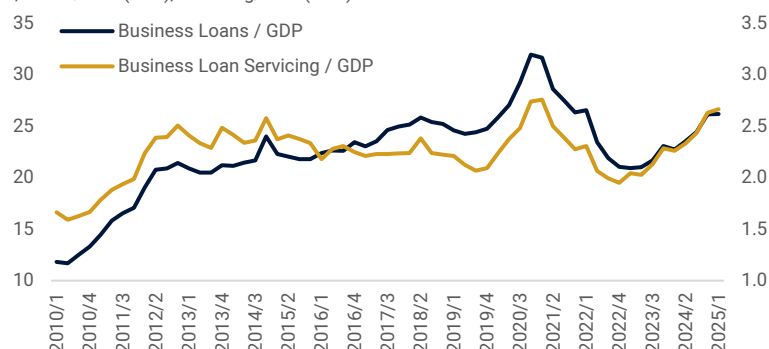
Following robust growth in 2022–23, external demand is undergoing a natural adjustment in 2024–25 (Figure 3.B.2). This adjustment is particularly pronounced in accommodation and food services, as well as culture, entertainment, and recreation, where both growth momentum and their contribution to overall economic expansion have markedly weakened in recent quarters (Figure 3.C.5). Correspondingly, the decline in actual and anticipated incomes within these sectors has translated into an adjustment of nominal wage levels in the services sector (Figure 3.F.6), alongside emerging weak inflationary or deflationary pressures in various service categories (Figure 3.C.7).

Moreover, while the natural deceleration of growth rates in the aforementioned sectors is to be expected, the accumulated debt burden combined with potential further income adjustments poses risks of a disproportionate contraction in investment, employment, and consumption of intermediate goods and services within these sectors. Several studies² highlight mechanisms through which highly indebted sectors amplify business cycle adjustments via the financial accelerator—effectively intensifying downturns, sometimes even doubling their impact. Thus, under this scenario, it is assumed that a further decline in external demand—particularly a roughly 10% decrease in the number of Russian tourists—combined with the aforementioned nonlinear effects, could lead to a significant weakening of aggregate demand over the medium term, necessitating a lower trajectory for policy interest rates.

Private sector liabilities have increased.

Figure 3.F.3: Private sector debt servicing

%, Loans/GDP (LHS), Servicing/GDP (RHS)

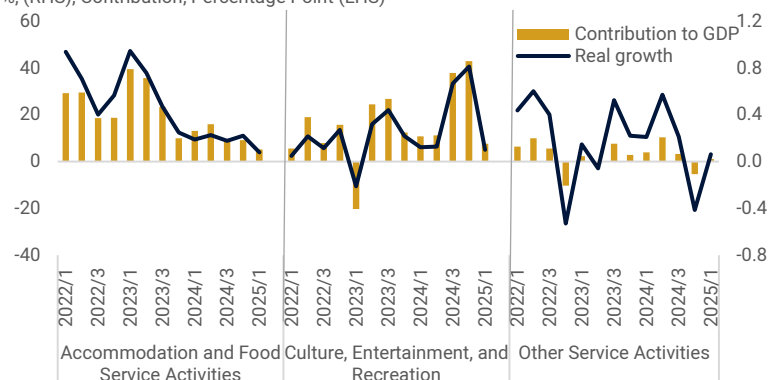


Source: CBA, CBA calculations

The significant slowdown in growth in some services reflects a natural adjustment in external demand.

Figure 3.F.4: Growth and contribution to economic expansion of sectors influenced by external demand

%, (RHS), Contribution, Percentage Point (LHS)

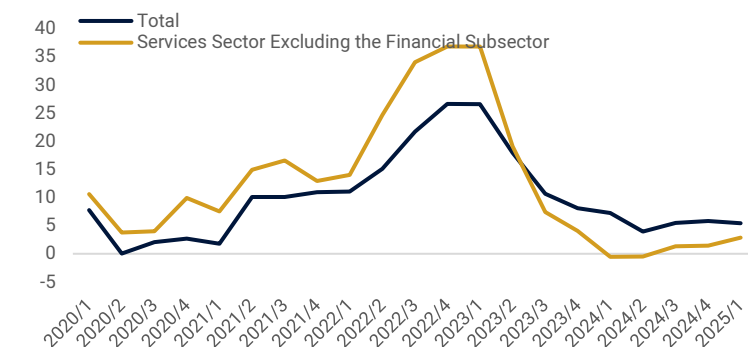


Source: CBA

The weak wage growth in recent quarters also indicates restrained spending in the services sector.

Figure 3.F.6: Private sector wage growth

%, compared to the corresponding quarter of the previous year



Source: NSA, CBA calculations

² Bernanke, Gertler, and Gilchrist, «The financial accelerator in a quantitative business cycle framework», (1999), Kiyotaki and Moore, «Credit cycles» (1997).

Summary of Illustrative Case A & Case B Macroeconomic Projections

Figure 3.F.6: Endogenous Interest Rate Path, %

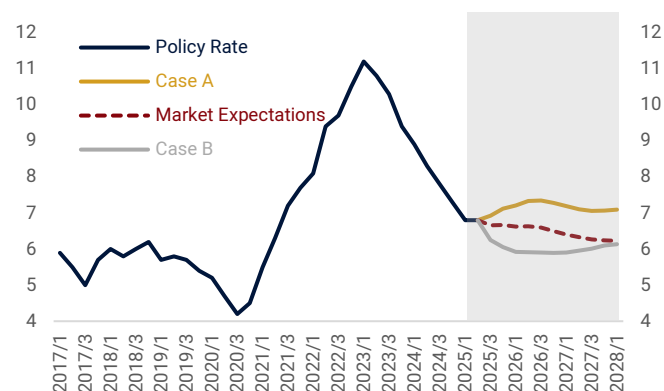


Figure 3.F.9: Non-Traded Sticky Price Inflation, Y-o-Y %

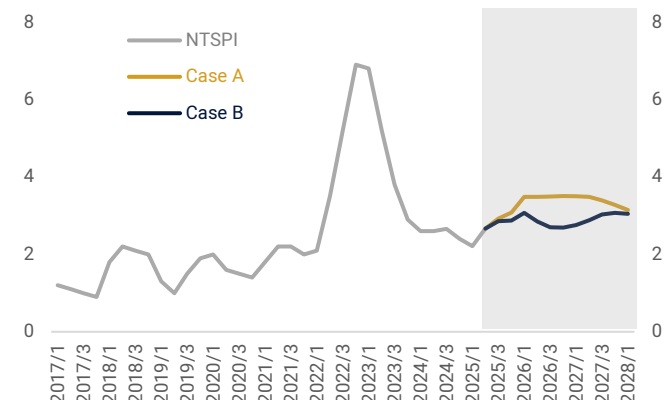


Figure 3.F.7: Real GDP Growth, Y-o-Y %

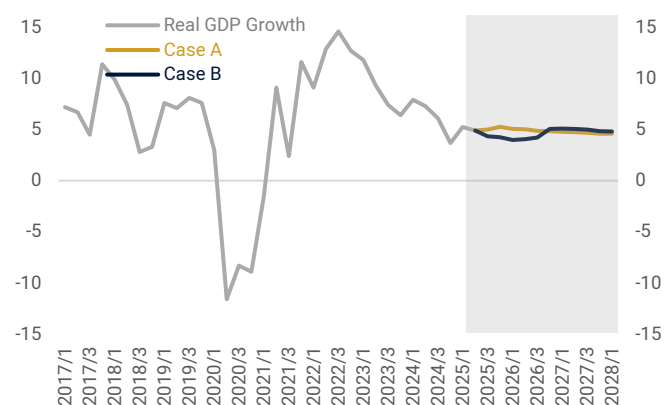


Figure 3.F.10: Output Gap, %

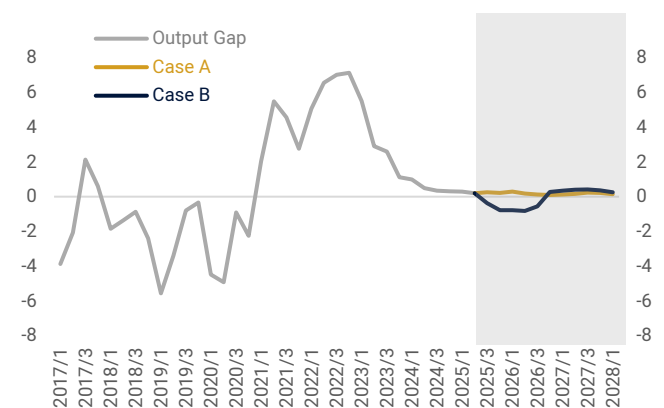


Figure 3.F.8: Headline CPI Inflation, Y-o-Y %

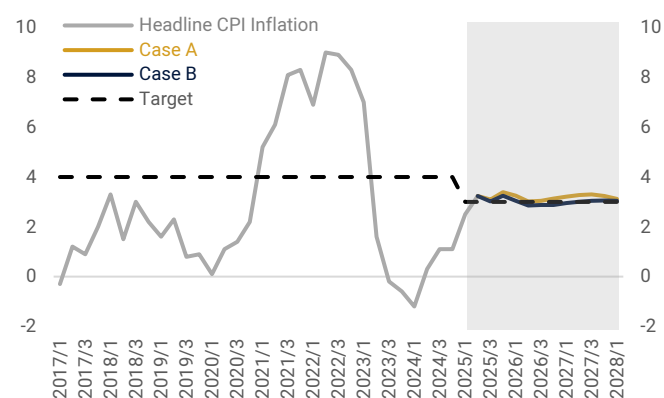


Figure 3.F.11: Real Interest Rate, %

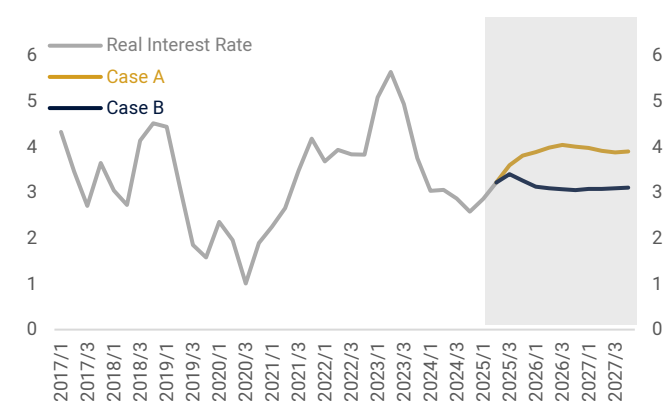


Figure 3.F.12: Nominal Effective Exchange Rate, Index

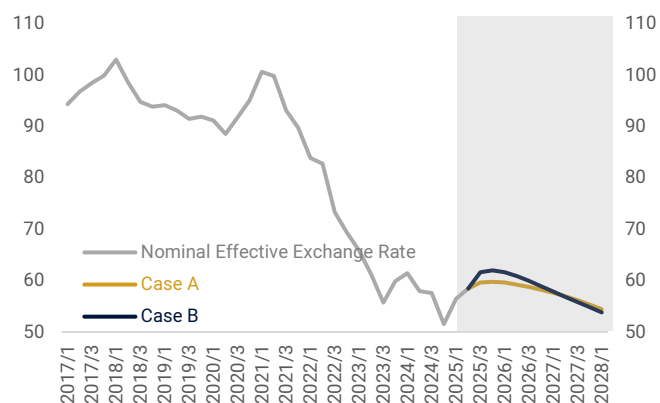


Figure 3.F.14: Model-Based 1-Year Ahead Inflation Expectations, Y-o-Y %

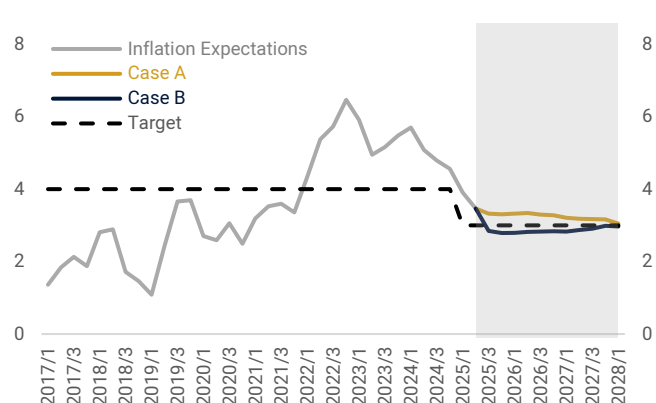


Figure 3.F.13: Real Effective Exchange Rate, Index

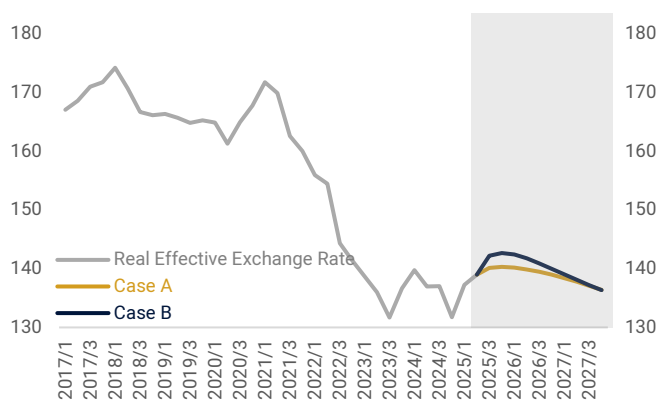


Table 3.F.1: Summary of Illustrative Macroeconomic Projections
Historical Data and Illustrative Case A & B Scenario Projections

		2023	2024	2025		2026		2027		2028	
		Actual	Actual	Case A	Case B	Case A	Case B	Case A	Case B	Case A	Case B
Global Economy											
USA economic growth	real growth, %	2.6	2.8	2.0	2.0	1.9	1.5	1.7	2.1	1.9	2.1
Eurozone economic growth	real growth, %	0.4	0.9	1.0	1.0	1.1	1.1	1.2	1.2	1.2	1.2
Russia economic growth	real growth, %	3.0	4.3	1.6	1.6	1.6	1.6	1.9	1.9	1.5	1.5
USA inflation	average, %	4.0	3.0	2.8	2.8	2.7	2.6	2.5	2.4	2.4	2.2
EU inflation	average, %	5.4	2.4	2.1	2.1	2.0	1.8	2.2	1.9	2.2	2.0
Russia inflation	average, %	5.5	8.4	8.4	8.4	4.9	5.0	4.1	4.2	4.0	4.0
Oil price	dollar/barrel	82.6	80.5	65.5	65.3	61.3	60.7	59.0	58.7	58.0	57.8
Copper price	dollar/mt	8472.1	9142.1	9441.1	9426.7	9762.1	9702.7	10094.3	10054.0	10256.0	10213.8
FAO food price index	index	124.1	122.0	129.9	129.7	133.0	132.0	135.9	135.1	139.1	138.5
Domestic Economy											
Inflation											
Inflation	Y-o-Y, %, EOP	-0.6	1.5	3.4	3.2	3.2	2.9	3.2	3.1	3.0	3.0
CPI inflation	Y-o-Y, %, avg.	2.0	0.3	3.1	3.0	3.2	2.9	3.2	3.0	3.0	3.0
Non-traded sticky price inflation	Y-o-Y, %, avg.	4.8	2.5	2.7	2.6	3.5	2.8	3.4	2.9	3.0	3.0
Gross Income											
GDP	billion dram	9453.2	10127.1	11077.2	11031.7	12257.7	12185.0	13553.0	13587.3	14933.3	14953.3
GDP	real growth, %	8.3	5.9	5.1	4.6	4.9	4.4	4.7	5.0	4.6	4.7

Table continued on the following page.

Historical Data and Illustrative Case A & B Scenario Projections (continued from previous page)

		2023	2024	2025		2026		2027		2028	
		Actual	Actual	Case A	Case B	Case A	Case B	Case A	Case B	Case A	Case B
Demand											
Consumption	real growth, %	9.0	1.6	6.6	5.3	5.5	4.8	4.8	5.4	4.8	5.2
Public consumption	real growth, %	28.3	-22.3	9.1	9.1	3.2	3.2	1.1	1.1	2.5	2.5
Private consumption	real growth, %	5.6	6.8	6.1	4.7	5.9	5.1	5.4	6.2	5.1	5.6
Gross accum. of fixed assets*	real growth, %	10.1	11.1	12.8	12.5	2.6	1.3	6.2	6.4	6.8	5.8
Public investment**	real growth, %	27.0	1.5	30.2	30.2	-7.4	-7.4	4.4	4.4	6.1	6.1
Gross accumulation of private fixed assets	real growth, %	3.6	15.2	5.5	5.1	7.6	5.7	6.9	7.3	7.1	5.7
Export of goods and services	real growth, %	30.7	35.6	-32.3	-36.4	5.4	5.0	2.8	1.6	3.3	1.9
Import of goods and services	real growth, %	30.2	31.4	-29.0	-34.2	4.7	3.1	4.6	6.1	6.2	7.5
Current Account											
Balance of trade	million USD	-203.2	-590.2	-2698.5	-2293.5	-2634.9	-2073.5	-2626.3	-2216.5	-2781.4	-2685.6
Money transfers	million USD	979.0	739.2	821.0	821.0	857.5	857.5	895.6	895.6	935.4	935.4
Current account	million USD	-556.3	-1040.9	-1290.9	-895.4	-1249.4	-701.9	-1300.9	-1062.1	-1409.5	-1492.1
Balance of trade	share of GDP, %	-0.8	-2.3	-9.8	-8.4	-9.2	-7.4	-8.5	-7.2	-8.2	-8.0
Money transfers	share of GDP, %	4.1	6.2	3.0	3.0	3.0	3.1	2.9	2.9	2.8	2.8
Current account	share of GDP, %	-2.3	2.8	-4.7	-3.3	-4.4	-2.5	-4.2	-3.5	-4.2	-4.4
Public sector***											
Revenues and grants	billion dram	2358.6	2573.5	2837.6	2837.6	3049.3	3049.3	3308.4	3308.4	3603.2	3603.2
Tax revenue	billion dram	2221.9	2390.9	2720.3	2720.3	2934.9	2934.9	3206.1	3206.1	3503.3	3503.3
Expenditures	billion dram	2550.2	2892.6	3441.7	3441.7	3584.7	3584.7	3755.4	3755.4	3994.5	3994.5
Deficit	billion dram	-191.6	-319.2	-604.1	-604.1	-535.4	-535.4	-447.0	-447.0	-391.3	-391.3
Revenues and grants	share of GDP, %	24.8	25.41	25.6	25.7	24.9	25.0	24.4	24.3	24.1	24.1
Tax revenue	share of GDP, %	23.4	23.61	24.6	24.7	23.9	24.1	23.7	23.6	23.5	23.4
Expenditures	share of GDP, %	26.8	28.56	31.1	31.2	29.2	29.4	27.7	27.6	26.7	26.7
Deficit	share of GDP, %	-2.0	-3.15	-5.5	-5.5	-4.4	-4.4	-3.3	-3.3	-2.6	-2.6

* The Central Bank only presents the indicator of gross fixed asset accumulation instead of gross accumulation, since the change in tangible working capital inventories is calculated by Armenia's Statistics Committee as a balancing item and it does not show the true level of gross accumulation. See https://www.armstat.am/file/article/sv_04_19a_112.pdf.

** Actual indicators of public investment are the capital expenditures of the consolidated budget, and the estimates are based on a revised macro-framework, 2025-2028, available at the time.

*** The 2025-2028 indicators are presented from the state Mid-Term Expenditures Framework and Draft budget for 2025

